

Integrated Report 2018

"Deepening and Evolving in the Pursuit of Genuine Value"

Town Value-up Management
TOKYU CONSTRUCTION

Embodying Shinka* as we progress toward our ideal vision of ourselves in 2026

We must be more considerate of people, towns and the environment.

Consideration involves being more resilient and wiser.

Working in conjunction with our partners and developing our skills,

Tokyu Construction will anticipate the future and alter our consciousness and behavior to adapt to the challenges of our rapidly changing times.

We will continue to develop and evolve for the creation of genuine value to respond to future challenges.

* “Shinka” is a key word to express our vision of “deepening and evolving in the pursuit of genuine value.”



As a Member of the Tokyu Group

As a member of the Tokyu Group, Tokyu Construction will operate its business in accordance with the Group's compliance guidelines, and will ensure its interests are aligned with the Group's philosophy. We are aware that we share the Tokyu brand, and take very seriously our responsibility to ensure that every employee acts in accordance with the corporate values of the Group. Ultimately, we sincerely aim to ensure that all Tokyu Construction's activities reflect positively on the Tokyu Group, its employees, shareholders and other stakeholders, and contribute to society in a positive way.

TOKYU GROUP

Tokyu Group Slogan

Toward a Beautiful Age

Beauty is the guiding principle and standard of value for Tokyu Group as it meets the challenges of the future.

For all of us in Tokyu Group, the beauty we aspire to is a universal beauty deeply impressing anyone who encounters it, regardless of a person's age or culture. We aim to create a beauty in harmony with people, their communities, and the natural environment.

With beauty as our touchstone, Tokyu Group's goal is to create beautiful living environments, which reflect our desire to serve our customers by refining our products and services, raising quality, and promoting good health.

We are making every effort to realize this vision, and moreover, we aspire to play an active role in creating a more harmonious society, overflowing with kindness and consideration, so that all people may find genuine happiness and express an individual lifestyle.

Our slogan, "Toward a beautiful age," expresses the commitment of all of us in Tokyu Group to continually pursue beauty, and proclaims our determination to lead the way in creating beautiful living environments.

Tokyu Group Philosophy

We hold the following shared vision as we work together to create and support Tokyu Group.

Mission Statement

We shall strive to create beautiful living environments, in which each person can pursue individual happiness in a harmonious society.

Management Policy

Work independently and in collaboration to raise Tokyu Group synergy and establish a trusted and beloved brand.

- Meet current market expectations and develop new ones.
- Manage in harmony with the natural environment.
- Pursue innovative management from a global perspective.
- Value individuality and encourage the best from each employee.

Through these means, we will fulfill our corporate social responsibilities.

Guidelines for Action

Fulfill your responsibilities. Collaborate to enhance each other's abilities. Reinvent yourself with a global awareness.

Tokyu Construction Corporate Philosophy

Corporate Philosophy

Mission Statement

We will help each person realize his or her dream through creating comfortable living environments that allow peace of mind

Management Policy

Management that rises to the challenge / Management that makes the best use of employees
Management that values customers / Management that is fair and open

Principles of Conduct

Independence / Speed / Teamwork / Reliability

Vision

Deepening and Evolving in the Pursuit of Genuine Value

Tokyu Construction

Vision and Declaration

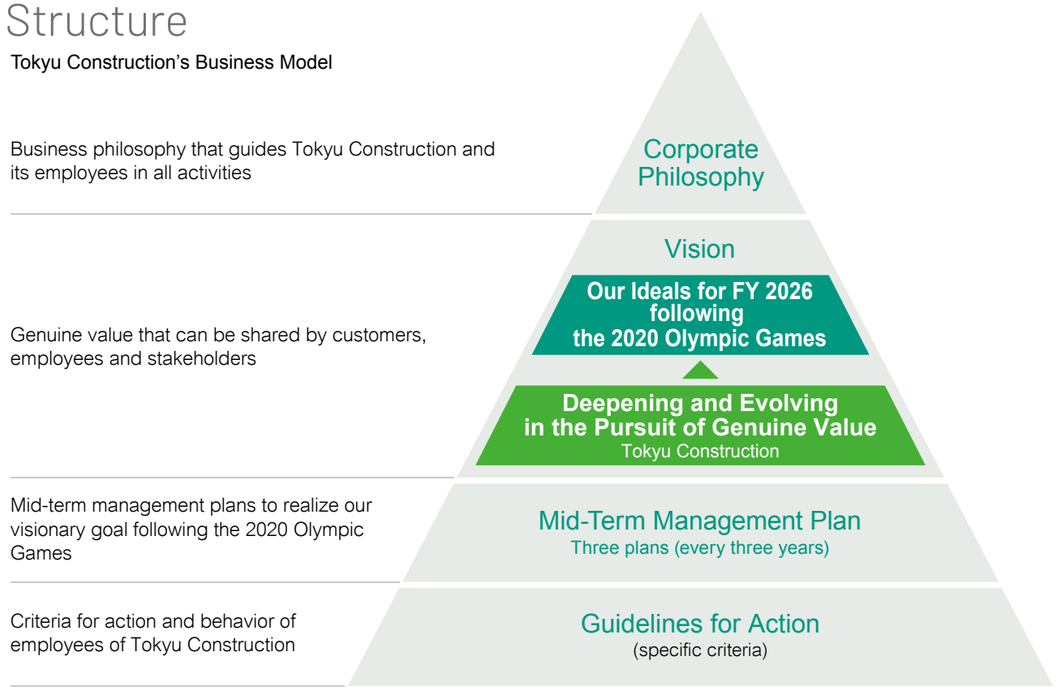
- Striving to respond to diversifying customer needs and providing the best solutions, we will enhance the quality of our business.
- Developing better technology and services, we will pursue new business opportunities in order to keep our capabilities evolving.
- Continuing a tradition of contributing to society in its role as a general contractor, Tokyu Construction is dedicated to the pursuit of genuine value.

Please visit our website for details.

CORPORATE PROFILE / Corporate Philosophy and Vision
(https://www.tokyu-cnst.co.jp/english/company/vision.html)

Structure

Tokyu Construction's Business Model



CONTENTS

Overview of Tokyu Construction

Group Philosophy	03
Corporate Philosophy	04
Message from the Chairman	06
Business Overview	07
Financial and Non-Financial Highlights	09

Story of Value Creation

Message from the President	11
Steps toward Value Creation	15
Value Creation Process	17
Identify Materiality	19
Our Ideals for 2026—The Company We Hope to Be in 2026	21
Mid-Term Management Plan (2018–2020): Shinka 2020	25
Message from GM, Business Administration Division	33

Business Overview

Civil Engineering Business	37
Building Construction Business	39
Shibuya Station South District SHIBUYA STREAM Project	41
Real Estate Business	43
International Business	44

Corporate Governance

Board of Directors	45
Corporate Governance	47
Risks	50
CSR	51

Corporate Data

10-year Main Consolidated Financial and Non-Financial Data	53
Financial Overview	55
Company Profile / Stock Information	59

Sustainable Development Goals (SDGs*1)

In September 2015, the United Nations adopted the agenda “Transform our World: the 2030 Agenda for Sustainable Development” and identified 17 Sustainable Development Goals (SDGs). To contribute to the realization of these goals, Tokyu Construction has identified eight material issues (*2) focusing in particular on our business operations and technological strength.

*1 SDGs: Sustainable Development Goals
https://www.un.org/sustainabledevelopment/sustainable-development-goals/

*2 Please refer to Page 19 regarding the eight agenda items specified as our material issues.



Editorial Policy

Tokyu Construction started issuing our “Integrated Report” in the fiscal year that ended in March 2017 (FYE Mar. 2017). This report allows us to consolidate our financial and non-financial information to inform our investors on how to contribute to society and the environment by improving our corporate value through our businesses with both a medium- and long-term perspective.

(Issued at the end of August 2018)

Reporting period	April 2017 to March 2018 * Part of the report includes information before and after the fiscal year 2017.
Scope of report	Tokyu Construction Co., Ltd. and its domestic and overseas affiliates
Reference sources	International Integrated Reporting Council (IIRC) “International Integrated Reporting Framework” Ministry of the Environment “Environmental Reporting Guidelines 2012,” GRI “G4 Sustainability Reporting Guidelines” and Japanese Standards Association “ISO 26000: 2010 Guidance on social responsibility”

The figures shown in this report are calculated based on the accounting standards as of March 2018, which include our projections and/or forecasts. Please be noted that as they were forecasted based on our available information at the time of the publication, they contain some uncertainties.

Message from the Chairman



To realize “Our Ideals for 2026—The Company We Hope to Be in 2026,” we have adopted a new management structure.

Tsuneo Iizuka
Representative Director, Chairman

On the Occasion of Assuming the Post of Chairman

I assumed the position of representative director and chairman after resigning as representative director and president in June 2018.

The origin of Tokyu Construction's business is in urban development such as Tama Garden City and the towns in areas surrounding Tokyu train lines, such as Shibuya. We have defined our business area to create a “Safe and Comfortable Living Environment.” As one of the Tokyu Group members, we are involved in not only building construction but with the life cycle of the town for eternity to create new value by considering the whole community from the viewpoints of customers and consumers who use such facilities.

During the eight years I acted as President I always tried to carry out the policies I inherited from our former president who placed “first emphasis on the on-site activities,” and “collaboration with the headquarters,” to improve “problem-solving skills to find and solve problems.” Securing safety and quality on site is the foundation of the construction industry. The goal of Tokyu Construction is to become a corporation that embodies this foundation trusted by our customers and consumers.

The environment surrounding the construction industry is robust for now. We are concerned however that domestic demand could undergo a qualitative shift after the Tokyo Olympic and Paralympic Games in 2020, with the current spot-revenue model giving way to recurring-revenue model based on maintenance that includes the reconstruction of old buildings and infrastructure. There are also challenges presented by a labor force shortage due to a significant increase in retirement of an aged workforce, affecting work-style reform.

To cope with the changing environment and aiming at sustainable growth, last March, Tokyu Corporation established the “Mid-Term Management Plan (2018–2020): Shinka 2020” and the “Our Ideals for 2026—The Company We Hope to Be in 2026” which is a vision for the final fiscal year of our three mid-term management plans.

New Management Structure

To carry out this plan, Tokyu Construction started a new management structure by hiring a new president, Toshio Imai, who held experience in various key positions in Tokyu Corporation, a core enterprise of the Tokyu Group.

We are determined to work toward the “Our Ideals for 2026—The Company We Hope to Be in 2026,” which involves the creation of a business group based on a vibrant culture, a corporate group that delivers true value and embraces change in the operating environment by completing the measures declared in the mid-term management plan.

I look forward to seeing President Imamura lead the company based on his rich management experiences to embody the mid-term plans toward the “Our Ideals for 2026—The Company We Hope to Be in 2026.” Hereafter, Tokyu Construction, centering on the new president, will work harder to develop our sustainable corporate value by maximizing synergy effects with the Tokyu Group to strengthen confidence in the Tokyu brand even more.

My Role as Chairman

Many employees spent more than one year creating the policies and strategies to realize “Our Ideals for 2026—The Company We Hope to Be in 2026.” and the “Mid-Term Management Plan (2018–2020).” These plans were not imposed on the employees but rather developed by them as they set their eyes firmly on the future. All that is left now is to take action. As the new chairman and the designated leader of planning, I will support the new president by doing whatever is required from now on.

To make Tokyu Construction a sustainable corporation required by society, we will work together company-wide to increase our corporate value.

Business Overview



Tokyu Construction focuses on civil engineering and building construction as our core business while working on new pillars of strategical businesses including real estate and international businesses to increase competitiveness and diversify profit. We aim to enhance our corporate value in a sustainable manner through the development of a stable management foundation.



Civil Engineering Business

We develop infrastructure related to national land formation, including public works, to maintain people's safe and secure living, while being conscious of environmental issues.

- Railroads, roads, tunnels, bridges, and other construction, reconstruction after earthquake disasters, etc.



Building Construction Business

We are pursuing urban development throughout Japan in areas such as Tama Garden City and Redevelopment of the area around Shibuya Station in Tokyo, which are closely connected to local communities.

- Construction of commercial facilities, hotels, offices, housing, factories, hospitals and distribution centers, renovation and wooden building construction



Real Estate Business

Using our core construction business, we acquire real estate and operate a rental business. One of the areas we are focusing our strategy on is areas surrounding station along Tokyu train lines in collaboration with the Tokyu Group.

- Rental business, equivalent exchange business, etc.



International Business

Using our technologies and know-how, we are pursuing a construction business in Southeast and South Asia including Thailand, Indonesia, Vietnam, Bangladesh, Myanmar, and Singapore.

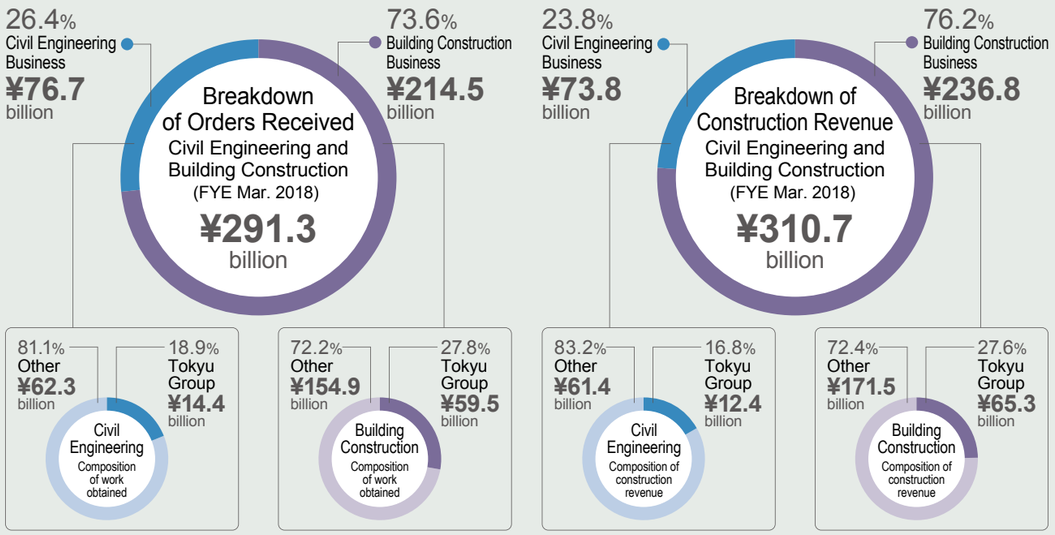
- Development of railroads and roads, high-rise buildings and factory construction



Other Businesses

We are pursuing new areas such as public–private partnerships (PPP), concession system projects and a paprika project.

- PPP, concession business
- Paprika business



Note: Pie charts show the amount of construction business (alone)



Major Domestic Completed Work

(FYE Mar. 2018)

■ Civil Engineering
■ Building Construction

Hokkaido
■ New Kantec Corporation Kitami Bldg.*

Iwate Pref.
■ New administration facilities using national funds in the tsunami affected Ofunato area

Shizuoka Pref.
■ Yugashima No. 2 Tunnel, Amagi-Kita Road, FY 2014

Shiga Pref.
■ New government facilities, Koga City (main framework construction)

Chiba Pref.
■ 1st site CE construction No.10 of the continuous multi-level crossing, Shinkeisei Line
■ Shin-miiri Tunnel (Uchiura)* construction funded by Social Capital Improvement Program, MLIT
■ Pool renovation in the Funabashi Municipal Sports Park
■ New construction of GLP Nagareyama I

Tokyo
■ Kyojima Main Sewage Pipeline construction, Sumida Ward
■ Contract work No.1 of anti-seismic reinforcement in elevated bridge No.1, Higashi-Fuchu
■ CE construction in Kaneo site, Shibuya Station, Tokyo Metro Ginza Line
■ Station facility renovation for increased transportation capacity on the Oimachi Line (Hatanodai, Jiyugaoka)
■ Renovation and other work on Nihonbashi Tax Office (15)
■ New construction planned by Jingu-mae 5-chome, Shibuya Ward*
■ New construction of PMO Shibuya
■ New construction of Teikyo Univ. Institute of Sports Science & Medicine, Hachioji Campus
■ Facility construction of Kyobashi 3-chome Project*
■ New construction of Tokyu Stay Takanawa*

Kanagawa Pref.
■ Site No.4 CE (No. 27), 1st term of continuous elevated cross-section, Keikyu Daishi Line
■ CE at 395 Obacho Aoba Ward, Yokohama
■ Atsugi-Minami Interchange, Shin-Tomei EXP
■ Rebuilding of Shisei Archery/Kyudo Training Hall, Hiyoshi Campus, Keio University

Okinawa Pref.
■ Repair work on Hotel Nirakanai Iriomotejima
■ New construction of Beach House No.2*

* Working titles

Overseas Bases and Ongoing Projects

Myanmar
Yangon Office
GOLDEN TOKYU CONSTRUCTION CO., LTD. (Local corporation)

Vietnam
Hanoi Office
Ongoing Projects
Package 2, Hanoi Ring Road No. 3 Construction Project (Mai Dich – South Thang Long Sec.)

Thailand
Bangkok Office
CH. KARNCHANG-TOKYU CONSTRUCTION CO., LTD. (Local corporation)

Bangladesh
Dhaka Office
Ongoing Projects
Dhaka Urban Transportation Development Project (MRT)
Land development of Uttara Railyard, 6th Line 1st site

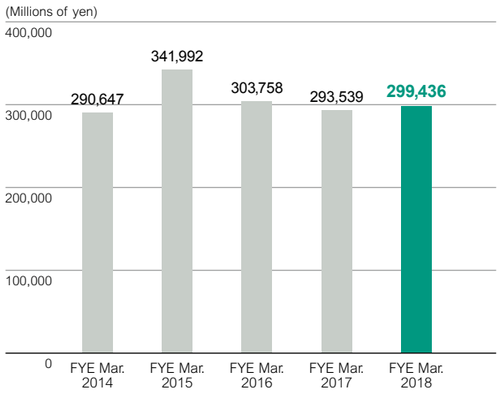
Indonesia
Jakarta Office
PT. TOKYU CONSTRUCTION INDONESIA (Local corporation)
Ongoing Projects
Sites CP101 &102, Mass Rapid Transit System (MRT) in Jakarta

Singapore
Singapore Office
Ongoing Projects
New construction of Venus Drive Nursing Home

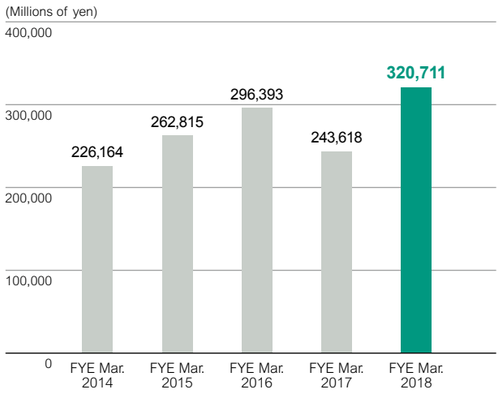
Financial and Non-Financial Highlights

Financial Highlights (Consolidated)

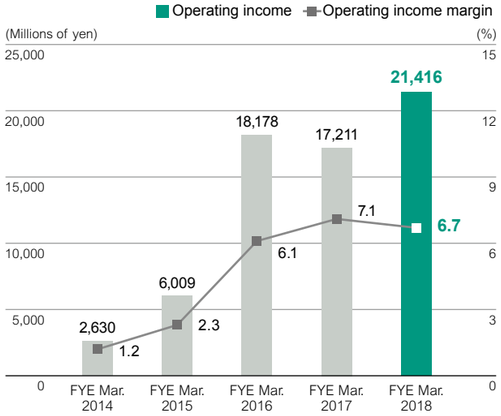
Orders received



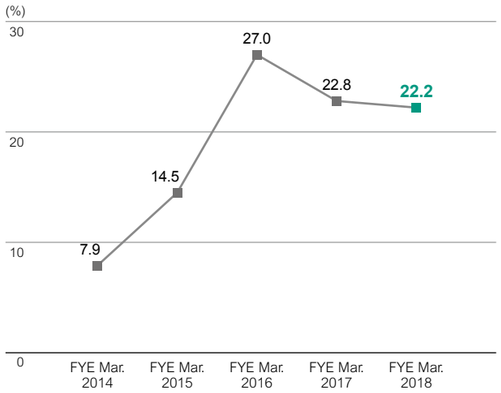
Net sales



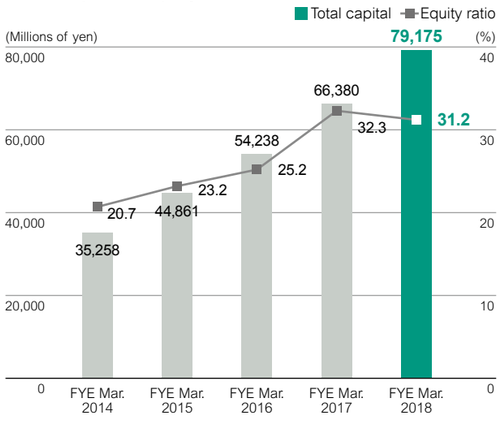
Operating income / Operating income margin



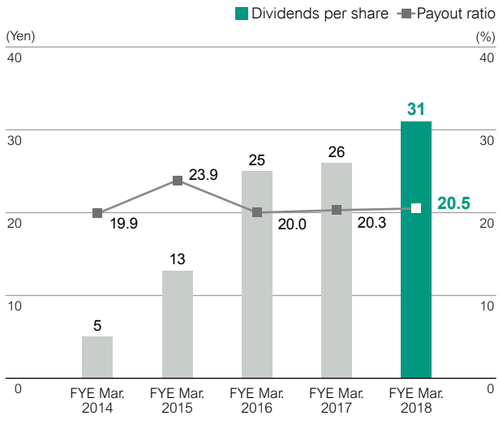
Return on equity (ROE)



Total capital / Equity ratio

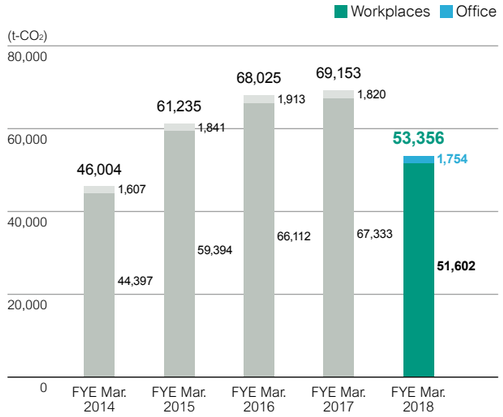


Dividends per share / Payout ratio

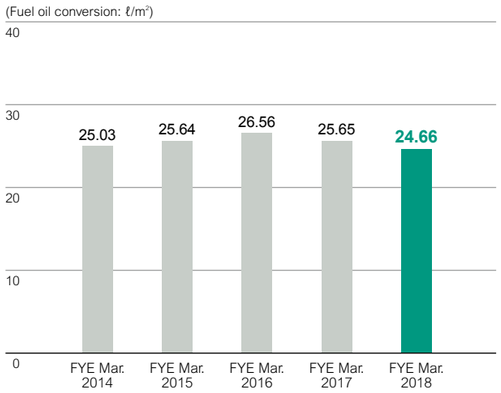


Non-Financial Highlights (Non-Consolidated)

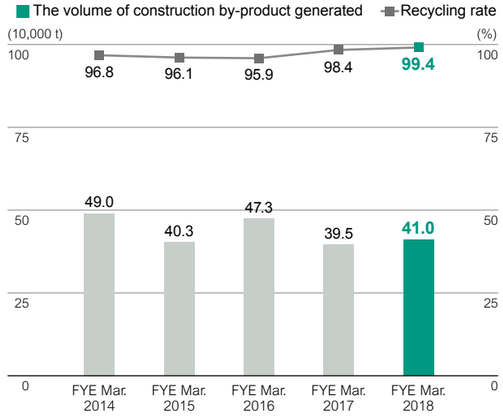
CO_2 emissions



Energy consumed
(Head office, branch offices, laboratories and factories)

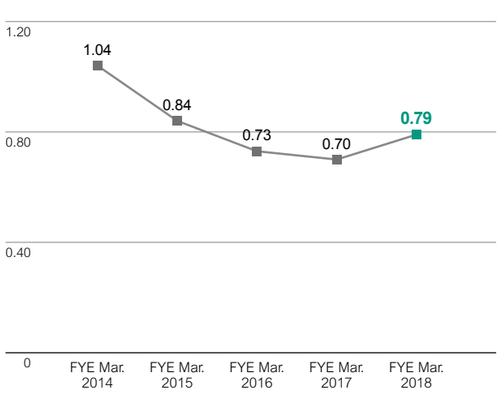


Construction by-products* generated / Recycling rate



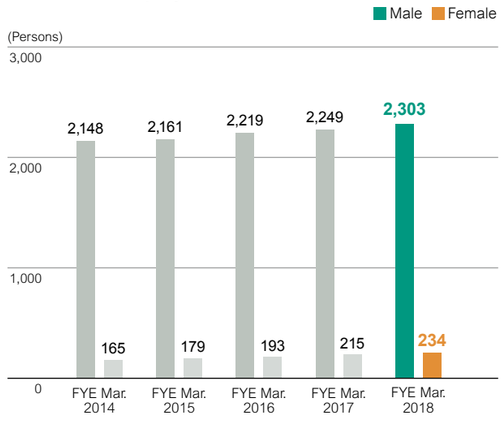
* Consumption by-products are generated during construction work. This includes recycled resources and waste.

Accident frequency rate*

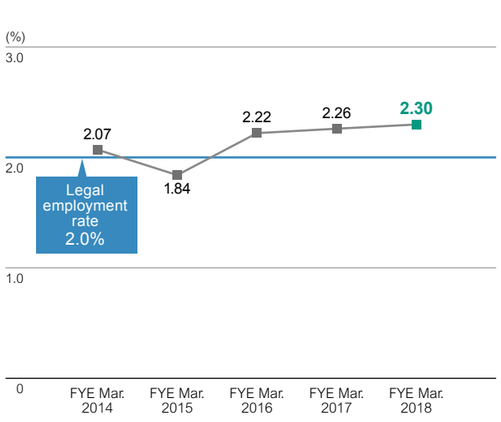


* The frequency rate is an index that shows the frequency of industrial accidents that caused injury and/or death per one million total extended working hours.

Number of employees



Employment rate for people with disabilities



* The frequency rate is an index that shows the frequency of industrial accidents that caused injury and/or death per one million total extended working hours.

Message from the President



With the speed of change now accelerating, we aim to sustainably enhance corporate value by embodying Shinka in our personnel and organization

Upon My Appointment as President

I am Toshio Imamura, who became president in June 2018. The fiscal year 2018 is the first step for us to move forward toward a new history. We will aim at further embodying Shinka based on the foundation of trust built by the new chairman, Mr. Iizuka.

It is expected that the current trends of the construction market will stay strong for a while. Even after the 2020 Tokyo Olympic and Paralympic Games are over, the demand for urban redevelopment in the Tokyo Metropolitan area and local infrastructure improvement along with the creation of resilient national land renewal will continue. Some impacts from the aftermath of 2020 Games, depopulation and so on may also exist.

However, these demands, which include a qualitative shift with the current spot-revenue model giving way to recurring-revenue model, may be expected to exist unevenly throughout Japan. Regarding employment and human resources, we anticipate various challenges such as the lack of labor force due to a significant increase in retirement associated with an aged workforce and the reform of working practices.

In order to establish a corporate structure that can cope with the changing environment, with the year 2026 as our target, we have set up the “Mid-Term Management Plan (2018–2020): Shinka 2020” as the first step to realize our visionary goal: “a business group that can cope with the changing environment to embody true value though a vital corporate culture.” We will work companywide to proceed with the mid-term management plan. I am determined to lead the management of the company along with the new Chairman and the Board of Directors.

Construction companies do contract business, which is dependent on changing economic conditions and environment. It is essential to reform our corporate culture to make a steady and stable profit under any future change.

Expanding the Scope of Our Contracting Business as We Aim for Sustainable Growth

One of the reforms we are aiming at is the expansion of our business area. Looking through the eyes of the market and customers we can see the great scale of areas we can be involved in. For example, in the construction market, demand from 2020 will vary depending on the location; if it is a busy place, people, goods and capital will flow in and construction demand will arise.

We need the ability to foreseeing every local demand while grasping trends by paying attention to the big picture. We have cultivated the viewpoint of urban development through development in Shibuya and other towns in areas surrounding Tokyu train lines. If we can cooperate with developers with similar viewpoints, we will be able to find different venues to make a significant contribution towards redevelopment and the promotion of housing rehabilitations. Our final objective is not just building completion. It is important for us to pursue management after the construction is completed.

For example, in the neighboring areas of Shibuya Station, where a mega project is continuing, Tokyu Construction will pay attention not only to the center of the region but to the surrounding areas such as Daikanyama and Yutenji, focusing on the demands of small offices and satellite offices. We will cope with the local needs and challenges to provide finely tuned solutions to discover new demands.

The second reform we aim for is to become a long-term stable profit company. The main business of Tokyu Construction is, of course, our construction business, involving the total lifecycle of buildings. But, hereafter, we will increase the ratio of businesses relating to public infrastructure such as the PPP/concession business and a real estate leasing business that generates stable, long-term profit. We are required to abide by our concept of “Create, Maintain, and Foster” that is, construct good buildings, maintain them to ensure long-time use, and change the usage if necessary to maintain asset values for a long time.

For example, there is concern over the aging of the buildings and facilities built during the 1964 Tokyo Olympic Games. However, due to the limitations of the budget of the local government, it is difficult to even pursue renewal construction. It is important to keep our eyes open for such challenges, and to detect and move as quickly as possible to make use of local funds and knowhow. I believe we, the private sector, should make every effort together with the central government, if required. In addition, what one company can do is limited. Therefore, it will sometimes be necessary to work in collaboration with various companies to combine our knowledge and abilities.

Maximizing Group Synergy as “One Tokyu”

I came to this company to realize another important theme of the “Our Ideals for 2026—The Company We Hope to Be in 2026"; to maximize synergy effects with the Tokyu Group. This includes pursuing development and real estate business in the metropolitan area, such as the project along the Tokyu Railway Line, increasing solidarity with “One Tokyu Group" and expanding our businesses.

I’m sure our customers seek the “Tokyu Brand” for values and a feeling of security and trust: “We feel relieved if we are using Tokyu,” and “we can trust Tokyu to construct and maintain buildings." We should turn our brand image and value into a further strength. To achieve this, we must develop a sense of teamwork, improve our ability of making proposals and refine our means of creating added value.

Hereafter, we will achieve synergistic effects by encouraging collaboration with group corporations not only passively but consciously and strategically. Tokyu Construction, as one of the group members, has many obligations, and there are still many things to be accomplished. I believe that our efforts to deliver value as part of the Tokyu Group will improve our corporate value, which will lead to social contribution.

Viewing the sales ratio, Tokyu Group generally holds 20 % of sales with some yearly variance, while around 80 % of sales comes from the customers outside the group. In particular, there are many customers from private companies that have sales offices not only in the Metropolitan area but also throughout Japan. Tokyu Construction will act as a link between these customers and the Tokyu Group. Tokyu Construction will offer value by taking advantage of the Synergy of the Tokyu Group by functioning as a bridge of value co-creation between the outside customers and the Tokyu Group— “If Tokyu takes part in it, the project will be successful.” I envision that new efforts like these will enlarge the customer connection.

Becoming a Company that Embodies Shinka in its Human Resources and Organization



The greatest challenge for our company is how to allocate human resources. There are many excellent sincere employees in Tokyu Construction. However, the percentage of those in their thirties in the prime of life is low due to a hiring freeze when the company was experiencing financial difficulties. In addition, another challenge facing the construction industry is work-style reform, which has made little progress compared to other industries due to overtime work with fewer holidays at our workplace. The utilization of ICT for work also lags behind. It is expected that the employment situation will become worse due to the declining birthrate and the aging population. The situation could also become more severe through loss of business due to a lack of human resources. The implementation of radical measures including the challenges of securing personnel and their training are the core themes raised in the mid-term management plan.

The road to solutions is not easy. We are determined to cope with them by classifying the challenges into three groups: those that can be addressed within a short period, challenges that will be dealt with long term, and those of both short and long-term spans. Personnel development is a primary goal that can offer value to our customers. It is important to proceed with multiple levels of solutions based on the principle of work-style reform; namely, the improvement of work-life balance, the improvement of operational efficiency through optimum personnel allocation and the improvement of productivity making use of mechanized construction and ICT as well as making commuting time shorter.

In addition, it is vital to change the thought processes of our management and the employees involved. As the times change, people’s values also change. Accordingly, requests made to corporations will also change. Without being fixed to the previous mind set of construction business models, every employee needs to acquire greater business sensitivity and develop new ways of thinking and conduct.

The company that grows is the company with employees making progress. In order for people to develop there is nothing more important than a stable environment in a company where they can concentrate on their work in a relaxed manner and look ahead to their future. My belief is that if we can increase the number of people who can exercise their abilities in such an environment, the company can cope with the changing environment.

Along with the employees of the Tokyu Construction Group, we will do our best to create a more valuable corporation for our customers and shareholders as well as all the people included in our partner companies who support our business.

Profile

Joined Tokyu Corporation after graduation from the Faculty of Economics, Keio University in 1974.
Assumed the position of director in 2007, and vice president in 2014.
Accumulated most experience within the transport business in Tokyu Corporation, then engaged in different areas ranging from management control to the department and the real estate businesses of the Tokyu Group.

While this is his first experience with the construction business, he regards it as a fresh challenge.



Steps toward Value Creation

For the past 60 years since the foundation of Tokyu Construction, we have worked with the Tokyu Group as a partner of safe and comfortable urban development projects such as in Tama Garden City and the redevelopment in Shibuya. In spite of a rapidly changing economic environment, including the burst of Japan's economic bubble and the financial crisis in 2008, we have been expanding our business areas starting from Shibuya moving, through the whole country and even expanding to Asia making use of our accumulated technologies and know-how as a general contractor that continues to embody Shinka.

1959–1995
Our Founding Era, a Time of Rapid Growth

We established our business foundation by playing a role in the construction development of Tama Garden City as a member of the Tokyu Group, which resulted in expansion of our business throughout Japan and overseas. After building up our technological foundation, Tokyu Construction became a semi-major corporation during the period of the bubble economy.

Social Trends
1964: Tokyo Olympics
1970: Expo '70 was held in Osaka
1973: The oil crisis
1989: Consumption tax was introduced
1991: The bubble economy burst
1995: The Great Hanshin-Awaji Earthquake

1950 1960 1970 1980 1990 2000 2010 2020

TOPICS
1946: Tokyo Construction Industry Co., Ltd. was established
1954: Merger between Tokyu Land Corporation and the company's Construction Industry Department

1953
Development of Tama Garden City started

Our brand message "Town Value-up Management" originated from the development of Tokyu Tama Garden City which was initiated in 1959. It was the largest post-war private sector development in Japan.



1959
Separated from Tokyu Land Corporation;
Tokyu Construction Co., Ltd. was founded



1970
Sanyo Shinkansen, High elevated bridge in Sone-nishi area (Hyogo)

1972
Narita 1st Hangar, Japan Airline (Chiba)



1970s
Established a solid base for a technological leap

While we experienced sluggish business due to the dollar shock in 1971, to enhance technological capabilities we established the Institute of Technology.



Institute of Technology

Embarked officially on overseas construction business

We took part in the Tokyu Group's project based on the "Pacific Rim Economic Initiative (later Pacific Ocean Economic Initiative) for the construction of hotels, resorts, residential land development and transportation facilities of group members.



Palau Pacific Resort

1996–2003
The Ordeal of Management Restructuring, and Starting from Zero

Faced with a financial crisis due to the company's large debts after the economic bubble burst, we started a new Tokyu Construction through restructuring, corporate break-up and financial assistance. We restarted our company with the firm resolution that every employee is a second founder.

Social Trends
1998: Nagano Olympics
2001: September 11 Attacks
2002: 2002 FIFA World Cup Korea/Japan

TOPICS



1996
Trans-Tokyo Bay Highway, Aqua Line (Tokyo)



1997
Nagano Shinkansen, Ueda Station (Nagano)



1998
Ninoy Aquino International Airport Centennial Terminal & Bldg. (Philippines)



1999
QFRONT Bldg. (Tokyo)

2000s
Streamlined Tokyu Construction

With support from Tokyu Group, we worked on reconstruction by responding to true cost-saving and technological needs of customers.



2000
SHIBUYA MARK CITY (Tokyo)



2003
Kyusyu Shinkansen, Izumi Station (Kagoshima)



2001
CERULEAN TOWER Bldg. (Tokyo)

2003
TC Holdings Co., Ltd. was established to succeed the construction section from the former Tokyu Construction, and changed its company listing to Tokyu Construction

Listed in the First Section of the Tokyo Stock Exchange

Real estate business sector company listing was changed to TC Properties Co., Ltd.

2004–2010
As a Best Partner of Value Creation

After experiencing the severe business environment caused by our net loss for the term, which was partly due to shrinking confidence caused by the discovery of bid rigging and the financial crisis, etc., we took a steady step toward fiscal consolidation.

Social Trends
2005: The Postal Service Privatization Act established
2008: The financial crisis
2010: Tohoku Shinkansen opened

TOPICS

2004
Town Value-up Management

As a new benchmark, we declared our brand concept as "a company committed to developing the genuine value of the town."



Town Value-up Management Poster



2010
TAMAPLAZA TERRACE & TAMAPLAZA STATION (Kanagawa)



2011
Futako Tamagawa rise (Tokyo)



2006
Through-service (MM21 Line - Toyoko Line), Higashi-hakuraku - Yokohama underground diversion (Kanagawa)



2004
Shinonome Canal Court Apartments (Tokyo)



2007
Multi-level crossing of Mekama Line (Meguro – Senzoku Sta.) (Tokyo)



2007
Unison Square (Tokyo)



2009
Shigira Bayside Suite ALLAMANDA (Okinawa)

2011—
Becoming a General Contractor that Continues to Embody Shinka

Establishing our new corporate vision in 2020 as a general contractor that continues to Embody Shinka, we are pursuing genuine value by enhancing both our core business and newly targeted businesses.

Social Trends
2011: Great East Japan Earthquake
2011: Kyushu Shinkansen opened
2013: 2020 Tokyo Olympic Games approved

TOPICS

2011—
Becoming a General Contractor that Continues to Embody Shinka

While enhancing our core contract business as a general contractor, we aim to develop genuine value and create new business areas for fruitful results.



2015
Medium-sized wooden housing "Granda Kaminoge" (Tokyo)



2015
Nhat Tan Bridge in Hanoi (Vietnam)



2013
Toyoko Line, Shibuya-Daikanyama Underground Diversion (Tokyo)



2015
GLP Zama (Kanagawa)



2011
Sumida River Rain Water Trunk Line (Tokyo)



2016
Tokyu Ikegami Line, Togoshi-Ginza Station Platform Canopy Renovation (Tokyo)



2013—
MRT Jakarta (Indonesia)



2017—
PPP / Concession Business Management of public sewage system, Hamamatsu (Shizuoka)



Redevelopment of Shibuya Station Area (Tokyo)
- Shibuya Hikarie
- SHIBUYA STREAM
- SHIBUYA SCRAMBLE SQUARE
- Ginza Line, Shibuya Station
- Infrastructure of Shibuya Sta. East Ext.
- Pedestrian bridges of Shibuya Sta. East Ext.

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Value Creation Process

While valuing the Tokyu Brand and using our know-how and town development technology, Tokyu Construction will help respective customers realize their dreams by offering a safe and comfortable living environment.

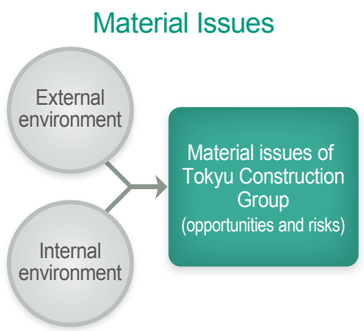
We intend to adapt to and address the daily changes in our society and endeavor to find solutions to the challenges of satisfying our customers' demands. Through our businesses, we will create shared value with society and communities, which will lead to a sustainable development of our corporate value.

Social Issues to be Addressed



Identify Materiality (p.19)

Material Issues



Identify Materiality (p.19)

Corporate Philosophy

Mission Statement

We will help each person realize his or her dream through creating comfortable living environments that allow peace of mind.

Management Policy

Management that rises to the challenge / Management that makes the best use of employees
Management that values customers / Management that is fair and open

Principles of Conduct

Independence / Speed
Teamwork / Reliability

Corporate Philosophy (p.04)

Corporate Philosophy

Mid-Term Management Plan (2018–2020)
Shinka 2020

Mid-Term Management Plan (2018–2020) "Shinka 2020" (p.25)

Basic Policy and Strategic Scenario to Meet Our Ideals

In Corporation with the Tokyu Brand

Toward a Beautiful Age
TOKYU GROUP
Tokyu Group Philosophy

Tokyu Group Philosophy (p.03)



Our Ideals for 2026—The Company We Hope to Be in 2026

Based on a vibrant culture, a corporate group that delivers true value and embraces change in the operating environment

Our Ideals for 2026—The Company We Hope to Be in 2026 (p.21)

Four Basic Policies

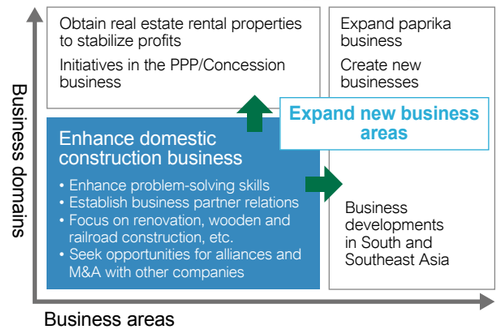
1. Bolstering individual capabilities and making work more rewarding for each member of the Tokyu Construction Group
2. Honing our problem-solving skills to ensure safety, enhance quality, reduce environmental impacts, boost profitability and lower sales cost
3. Taking on challenges and amassing achievements in new business domains
4. Shoring up our management and financial foundations

Strategic Scenario

Human resources and organization



Business



Management and financial base

Enhance core capital	¥150 billion or more	Compatibility	High ROE	10% or more
	Secure risk tolerance against risky investment assets			Create higher ROE exceeding stockholders' costs

Investment plan

(2018 - 2026)

Total ¥90 billion

Our Ideals for 2026—The Company We Hope to Be in 2026 (p.23)

Quantitative Targets of Our Ideals for 2026—The Company We Hope to Be in 2026

Stake-holder	ESG	Fiscal Year 2017		Fiscal Year 2026
Employees	S	–	Employee engagement	Improve
		Closed for 4 to 5 days / 4 weeks	No. of days work sites are closed	Closed for 8 days / 4 weeks
Customers / Society / Partner companies	E/S	95%	Customer satisfaction	100%
		0.20	Safety index	0.10 or less
		23.9 ton -CO_2 / ¥0.1 billion	Emission of CO_2	20.0 ton -CO_2 / ¥0.1 billion
Shareholder		6.7%	Consolidated operating profit ratio	7.0% or more
		¥320.7 billion	Consolidated sales	¥350 billion or more
	G	22.2%	ROE	10% or more
		¥78.9 billion	Consolidated core capital	¥150 billion or more

Our Ideals for 2026—The Company We Hope to Be in 2026 (p.24)

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Identifying Materiality

Identifying the Important Issues (Materiality) to Realize “Our Ideals for 2026—The Company We Hope to Be in 2026”

To establish Our Ideals for 2026—The Company We Hope to Be in 2026 and mid-term management plans we organized the important social issues from a long-term perspective for Tokyu Construction Group, and identified the most important issues (Materiality) through a discussion with the CSR Committee. To realize Our Ideals for 2026—The Company We Hope to Be in 2026, through our businesses, we are determined to deal with the social issues in the Mid-Term Management Plan: Shinka 2020.

Process of Identifying Materiality

STEP 1 Identifying Social Issues

We have identified eight goals of important social issues to be given priority by our Group among the United Nation’s Sustainable Development Goals (SDGs).

Human resources	•Provide worthwhile working workplaces for diverse people •Foster human resources who can contribute to society in a sustainable way	5 GENDER EQUALITY, 8 DECENT WORK AND ECONOMIC GROWTH
Society	•Contribute to urban development that ensures safe, secure and comfortable living •Provide optimum construction solutions and create services •Improve efficiency of production processes through technological innovation	9 INDUSTRY, INNOVATION AND INFRASTRUCTURE, 11 SUSTAINABLE CITIES AND COMMUNITIES, 12 RESPONSIBLE CONSUMPTION AND PRODUCTION
Environment	•Reduce global warming gases and promote resource and energy conservation •Reduce and recycle construction by-products •Develop green engineering and create environmentally-friendly designs	7 AFFORDABLE AND CLEAN ENERGY, 13 CLIMATE ACTION, 15 LIFE ON LAND

To help realize the 17 SDGs promoted by the United Nations, after considering potential solutions through our businesses and the expertise of the Group, we identified eight goals that, when achieved, will help solve issues through our business activities.

STEP 2 CSR Committee Deliberation

The CSR Committee consists of the directors and auditors of the Board and the President serving as chairman. The members discussed the social responsibilities of our Group in terms of 1) the characteristics of Tokyu Construction, 2) the characteristics of the general contractor, 3) soundness of management, and 4) social and stakeholders’ needs.



Comments from the participants

- The development of towns resilient to possible natural disasters in the future and the improvement of old infrastructure are the important missions in the construction industry
- We will carry on the tradition of manufacturing, constantly strengthen our on-site abilities with new ideas and engineering, and continue sustainable development as an enterprise to help realize a sustainable society
- We will contribute to solving global issues such as climate change as a member of our global society
- The most important issue is finding human resources in a business environment where the labor population is decreasing. We hope to contribute to a sustainable society by improving job satisfaction of more diversified employees
- The management will continue to carry out these missions and enhance governance through dialogue with the stake holders

STEP 3 Identifying Materiality

Based on the results of discussions, we identified important issues to be prioritized by the group and considered both the opportunities and risks, which were reflected in four basic policies of our management strategies.

Social Issues	Category	Important Issues	Opportunities	Risk	Basic Policy
•Diversification and active participation of workers and respect for human rights •Improved working environment and job satisfaction	Human resources	•Diversified individuals in mind, working practice and lifestyle •Address long working hours and social demands for work-style reform •Dealing with reduction of applicants for general contractors	•Reform the personnel system •Promote work-style reform •Understand and address employee needs	•Difficulties of securing days-off due to a volume of contracts and problems addressing diversified employee needs	Innovation of Human Resources and Organization
•Develop a safe, secure and comfortable living environment •Establish a society with national resilience •Pursue the principle of safety first and improve quality •Innovative change of production process to cope with a reduced productive population	Society	•Social needs and customer demand for safety, quality, environment, productivity and cost are magnified and diversified •Communication difficulties among generations and problems regarding handing-down skills due to overwork stress and lack of mid-level workers in their 30s •Commoditized market structure of the construction industry •Concern about supply due to lack of skilled workers and lowered productivity, etc. under continuing construction demands •Improvement of construction production system through IoT, innovation, etc. (Promote “Shinka” x ICT) •Acceleration of qualitative change of construction investment (Flow consumption to stock maintenance model and environmental needs) •Changing public needs (diversified the order system, introduced private-sector initiative: PPP/Concession business, etc.) •Risk of shrinking future market due to depopulation and weak economic growth •Increased awareness of global environment	•Enhance problem-solving skills •Regenerate a culture of safety •Restructure organization along a customer orientation and address customer needs •Restructure headquarters functions (Enhance functions to develop company-wide optimum measures) •Create investment opportunities for the systematic innovation of construction production •Utilize a newly affiliated renovation business company and restructure the wooden construction business •Try to receive more orders for PPP/Concession business •Form partnerships with other companies and maintain and expand business scale through M&A •Expand the needs of climate change mitigation and environmental improvement	•Lag in addressing social and customer needs •Occurrence of industrial and labor accidents (in safety, quality, etc.) •Insufficient communication within workplaces due to overwork stress and a lack of mid-career employees •Delayed measures for affiliate companies •Lack of inhouse sources of unique innovation •Delay in addressing stock markets •Delay in addressing changing public needs •Delay in enhancement of construction business and the diversification of revenue sources •Increasing risks of disasters due to climate change	Enhance Domestic Construction Business
•Measures against climate change •Realize an energy-saving society •Realize society in harmony with nature •Build a resource recycling society	Environment	•Strengthen the corporate structure to diversify revenue sources in real estate, global and new business, etc. •Expand businesses in emerging South East and South Asia (ODA centering on railways and road construction, and high-rise building construction)	•Acquire specialized HR •Increase of investment capacity •Continuance of South East and South Asian countries economic growth	•Delay in securing and training human resources with high level of expertise •Lost opportunities of investment •Aggravated real estate market and volatile economy in South East and South Asia	Challenges in New Business Domains
•Enhance corporate governance •Ensure compliance •Ensure risk management	Governance	•Risk management in construction, real estate, global and new business •Enhance sustainable corporate value	•Acquire specialized HR and improve risk management •Maintain high earning capacity and enhance financial foundations •Appeal for non-financial value	•Failure of business risk management •Delays in the improvement of business management and in recruiting and human resource training •Lack of engagement with investors	Enhance Management and Financial Foundations

Respective material issues are reflected in four basic policies of our management strategies (“Our Ideals”)

“Our Ideals for 2026—The Company We Hope to Be in 2026”

Based on a vibrant culture, a corporate group that delivers true value and embraces change in the operating environment

Based on a vibrant culture, we do our utmost to deliver true value and aim to be a corporate group that embraces change in the operating environment.
We have in place the management and financial foundation to take on business risks and build a highly profitable business portfolio that does not rely solely on the domestic construction business



Background and Purpose of “Our Ideals for 2026—The Company We Hope to Be in 2026”

We have defined four basic directions for our company by reflecting back on our history to date (including the lessons we learned during our growth period and as a result of management crises), analyzing the issues presented in the current internal and external environments, and considering the requirements of society and our shareholders. From these directions, we have formulated “Our Ideals for 2026—The Company We Hope to Be in 2026,” looking toward the post-2020 period.
Our ideal vision of ourselves goes beyond our corporate vision as a general contractor that continues to embody Shinka. To realize this vision, each member of the Tokyo Construction Group will strive to bolster their individual capabilities, make work more rewarding, and engage in teamwork. Honing problem-solving skills as a result of these efforts, we intend to raise the capabilities of the construction business in Japan, as well as to take on new challenges and succeed in new business domains.

Four Basic Policies

1. **Human Resources and Organization** — Bolstering individual capabilities and making work more rewarding for each member of the Tokyu Construction Group
2. **Domestic Construction Business** — Honing our problem-solving skills to ensure safety, enhance quality, reduce environmental impact, boost profitability and lower cost of sales
3. **New Business Domains** — Taking on challenges and amassing achievements in new business domains
4. **Management and Financial Foundations** — Shoring up our management and financial foundations

External Environment

Fulfill requests and needs of society and stakeholders

- Requests for enhanced governance
- Anticipation of ROE increase
- Anticipation of ESG management

Market (supply and demand)

Supply
- Domestic construction investment is gradually reducing
- Qualitative change from flow consumption to stock maintenance

Demand
- Lack of skilled workers
- Redress long working hours

Internal Environment

Human resources and organization (Strengths / Weaknesses)

Strengths
- Capacities and teamwork of employees
- Steady increase of problem-solving skills

Weaknesses
- Lack of specialized HR to take on challenges in new domains
- Training of future management personnel

Business (Strengths / Weaknesses)

Strengths
- Reliability of Tokyu brand
- Know-how and engineering of urban development
- Priority customer base

Weaknesses
- Dependent on domestic construction business
- Lacking collective strength within Tokyu Construction Group

Management and financial base

- Strengthen capital base to address future risks



Basic Policies and Strategic Scenario of “Our Ideals for 2026—The Company We Hope to Be in 2026”

We see employees’ efforts to bolster individual capabilities and make work more rewarding as core competencies. By deploying these core competencies in line with our four basic directions, we will pursue Our Ideals for 2026—The Company We Hope to Be in 2026 as we move forward with our strategies.

Four Basic Policies

1 Human Resources and Organization

Bolstering individual capabilities and making work more rewarding for each member of the Tokyu Construction Group

Through work, employees find meaning and their raison d'être, and a sense of contribution to society

Core Competence

2 Domestic Construction Business

Honing our problem-solving skills to ensure safety, enhance quality, reduce environmental impacts, boost profitability and lower sales cost

By continuing to hone our problem-solving skills, we strive to ensure safety, enhance quality, reduce environmental impact, boost profitability, and lower cost of sales, providing better value to customers. In addition, by preparing for growing needs and showcasing our strengths, we aim to achieve growth in the Japanese construction market

3 New Business Domains

Taking on challenges and amassing achievements in new business domains

While maintaining our core construction business, we will anticipate the changing times as we take on challenges and generate achievements in a variety of business domains

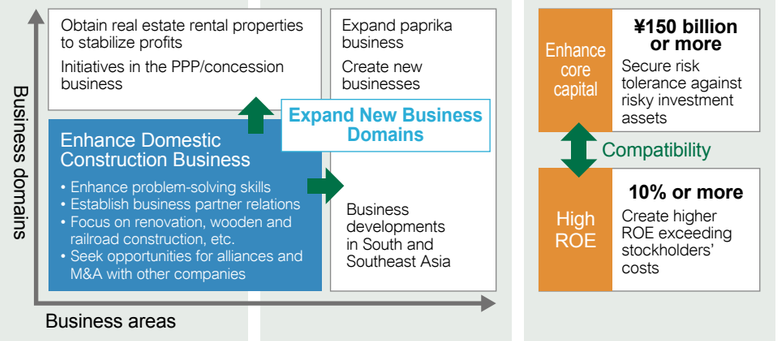
4 Management and Financial Foundations

Shoring up our management and financial foundations

Learning from past mistakes, we will shore up our management and financial foundations in preparation for changes in the operating environment. At the same time, we will meet shareholder expectations by steadily increasing corporate value

Strategies for Realizing Our Vision





Innovation of Human Resources and Organization

- The core competence of our group is our human resources
- We will improve human resource (HR) training to enhance the capabilities of every employee as well as reform our HR system and working practices
- We will make work highly rewarding by transforming our internal corporate culture in a way that allows employees to fully leverage their capabilities
- As a result, we will raise our core competencies to a level of capability that other companies cannot easily emulate

Enhancing Domestic Construction Business

- Endeavor to reform construction production system (enhanced productivity and use of ICT) by improving problem-solving skills
- Enhance relationships as business partners with clients and partner companies
- Focus on fields (renovations, mid-sized wooden construction, etc.) with increasing demands and advantageous fields (such as railroad construction)
- Assertively pursue opportunities, alliances, and M&A with other companies

Challenges in New Business Domains

- Promote overseas operations in South East and South Asia
- In real estate business, obtain profitable properties with stable yields expected to secure stable profits
- Expand PPP/Concession and paprika businesses that are less influenced by the shrinking domestic construction market
- Early preparation of seed-sowing to obtain new business and create new value

Enhancing Our Management and Financial Foundations

- While reflecting on our past oversights, we aim to improve corporate governance as well as strengthen the structure of risk management and our compliance system
- Pursue an appropriate size of core capital that can respond to increased risks due to stronger and wider investment operations
- By maintaining higher ROE compared to the stockholders’ capital costs, we will always secure stockholders’ profits in mid-term and long-term periods

Quantitative Targets of “Our Ideals for 2026—The Company We Hope to Be in 2026”

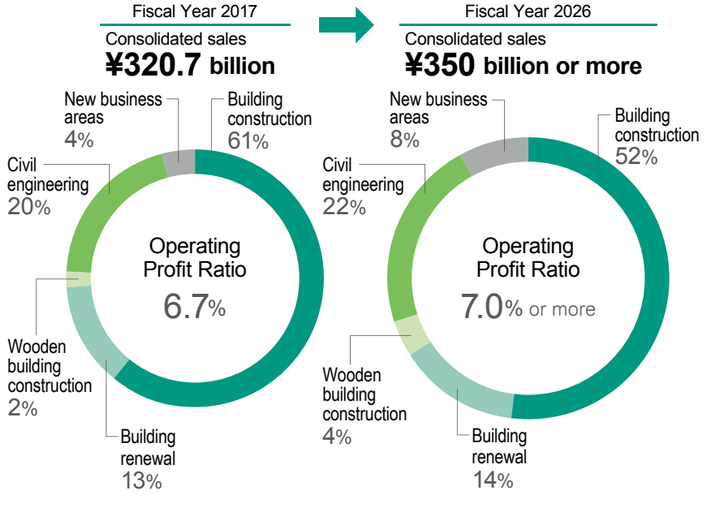
Tokyu Construction has set up indexes such as key performance indicators (KPIs) to link its basic policies and strategic scenario to realize the “Our Ideals for 2026—The Company We Hope to Be in 2026.” Using this index, the progress towards our visionary goal can be visualized.

KPIs for the Realization of Goals

Our Ideals	Basic Policy	ESG	Target	KPI	Fiscal Year 2017	Fiscal Year 2020	Fiscal Year 2026
Vital Culture	Improve abilities and job satisfaction of every employee in the Tokyu Construction Group	S	Employees	Employee engagement survey (*1)	Measure the percentages of employees whose motivation is high enough to contribute to the company and society. At the same time, allow employees to appreciate a corporate culture where they can exercise not only their abilities, but also realize comfortable working conditions		
				No. of days work sites are closed (*2)	Closed for 4 to 5 days / 4 weeks	**Closed for 7 to 8 days / 4 weeks**	**Closed for 8 days / 4 weeks**
Maximize True Value	Enhance problem-solving skills to pursue safety, quality, environmental issues, productivity and cost control	E / S	Customers Society Partner companies	Customer satisfaction (*3)	95%	**100%**	**100%**
				Safety index (*4)	0.20	**0.10 or less**	**0.10 or less**
				Emission of CO_2 (*5)	23.9 ton -CO_2 / ¥0.1 billion (19% down) (FY 2014-16 average)	**23.2 ton -CO_2 / ¥0.1 billion (22% down)**	**20.0 ton-CO_2 / ¥0.1 billion (32% down)**
	Take on challenges in new business areas for fruitful results		Shareholder	Consolidated operating profit ratio	6.7%	**6.3%**	**7.0% or more** (*6)
				Consolidated sales	¥320.7 billion	**¥312 billion**	**¥350 billion or more** (*6)
Resilience to the Changing Environment	Enhance management and financial base	G		ROE	22.2%	**13% or more**	**10% or more** (*6)
				Consolidated core capital	¥78.9 billion	**¥110 billion or more**	**¥150 billion or more** (*6)

*1 We introduced a revised version of the employee awareness survey for the employees of our group including major affiliated companies and set up KPI target values
*2 Our target covers new work sites of Tokyu Construction (parent company) starting from FY 2018 (excluding the offices in which application is difficult)
*3 Rate of customer satisfaction for Tokyu (parent company) in private sectors (answering “Yes, we are definitely happy to order / Yes, we can also order.”): Average 95% during FY 2014-16
*4 Safety index of Tokyu (parent company): √ (Frequency rate x Strength rate)
*5 Specific energy consumption (base unit) per construction sales of our parent company Tokyu (ton-Co_2 / ¥0.1 billion) (The reduction rate is compared to that of our FY 1990.) The standard value of Tokyu (parent company) in FY 1990 is calculated based on the figures recorded in FY 1990 in the “CO_2 Emission Survey Report” issued by Nikkenren (Japan Federation of Construction Contractors)
*6 Target value based on the main scenario

Sales, composition ratio, and operating profit ratio



Investment plan

We plan to invest around ¥90 billion for the coming nine years to realize Our Ideals for 2026—the Company We Hope to Be in 2026 in the fields of domestic construction and new business areas as well as strengthening our management base, organization and HR

Amount of total investment

In principle, investment will be made with our core capital. We will discuss the optimal way of raising funds by considering our management and financial situation, market environment, etc.

Total ¥90 billion

Domestic construction business	Civil engineering and construction businesses (including renovations and mid-sized wooden construction)	¥17 billion
New business areas	Real-estate and PPP/Concession businesses, and other new businesses (paprika business, etc.)	¥70 billion
Financial base, Organization and Human resources	Employee training, ICT, etc.	¥3 billion

Mid-Term Management Plan (2018–2020)

Shinka 2020

The crowning achievement of Shinka 2020, our mid-term management plan for 2018-2020, is meant to be our emergence as “a general contractor that continues to embody Shinka.” At the same time, we are handling, this period as the launch of “Our Ideals for 2026—The Company We Hope to Be in 2026,” which looks toward the post-2020 period.
By executing this plan, we will make full use of the energy of our human resources and organization, and strengthen and expand our problem-solving skills and ability to drive business forward. Simultaneously, we will build the management and financial foundations enabling us to respond to any change in the operating environment.



2026 Our Ideals for 2026—The Company We Hope to Be in 2026

Based on a vibrant culture, a corporate group that delivers true value and embraces change in the operating environment

Basic Policies Regarding Our Ideals

1: Bolstering individual capabilities and making work more rewarding for each member of the Tokyu Construction Group
2: Honing our problem-solving skills to ensure safety, enhance quality, reduce environmental impacts, boost profitability and lower sales cost
3: Taking on challenges and amassing achievements in new business domains
4: Shoring up our management and financial foundations

2020 Mid-Term Management Plan (2018–2020) Shinka 2020

Deepening and Evolving in the Pursuit of Genuine Value

Basic Policy of Shinka 2020

1: Transforming our human resources and organization to elicit employees’ motivation and capabilities
2: Reinforcing the domestic construction business through a customer orientation and problem-solving skills
3: Promoting the diversification of revenue sources by expanding strategic businesses
4: Shoring up our management and financial foundations in support of heightened profitability

1 Transforming Our Human Resources and Organization to Elicit Employees’ Motivation and Capabilities

Tokyu Construction will become a company where employees can feel job satisfaction. To realize this vision, we will improve our HR training system to develop the capabilities of every employee and reform our personnel system and work practices to foster a corporate culture where people can fully realize their capabilities.

Development

“Development and utilization of employee capabilities”

Further improve capabilities of every employee through the enforcement of Human Resource Development (HRD)

- Foster human resources for future management in a systematic manner
- One-year training of new college graduates (CE Division)
- Foster employee awareness through 360-degree assessment, coaching, etc

Efficiency

“Promotion of efficiency”

Promote awareness-raising activities and seek essential operational efficiency

- Strengthen work site support division
- Raise awareness of shorter working hours
- Use of automation (AI and RPA), etc.

Employee Engagement

Increase the percentage of employees who feel our internal corporate culture strikes a balance between motivating employees to contribute to our company and society and establishing a pleasant working environment

Workstyle

“Diversified working system”

Create a more flexible system and depend on employees volunteering to bring out their capabilities

- Utilize flex-time and tele-working systems, etc.
- Address diversified needs including child and nursing care, etc.

Management

“Appropriate allocation of human resources”

Visualize experiences and capabilities of employees to improve HR allocation and enhance their ability to act strategically

- Monitor human resources
- Make a plan to foster management successors
- Carry out job duty changes smoothly if required, etc.

Recruiting

“Securing staff through enhanced recruitment”

Replenish the increasing number of retirement workers, supply mid-carrier employees, and enhance recruitment for specialists

- Hire specialists for strategic businesses and risk management
- Secure industry-ready employees to enhance revenue in domestic construction business, etc.
- Increase the total number of employees by around 10 %, etc.

2 Reinforcing the Domestic Construction Business through a Customer Orientation and Problem-Solving Skills

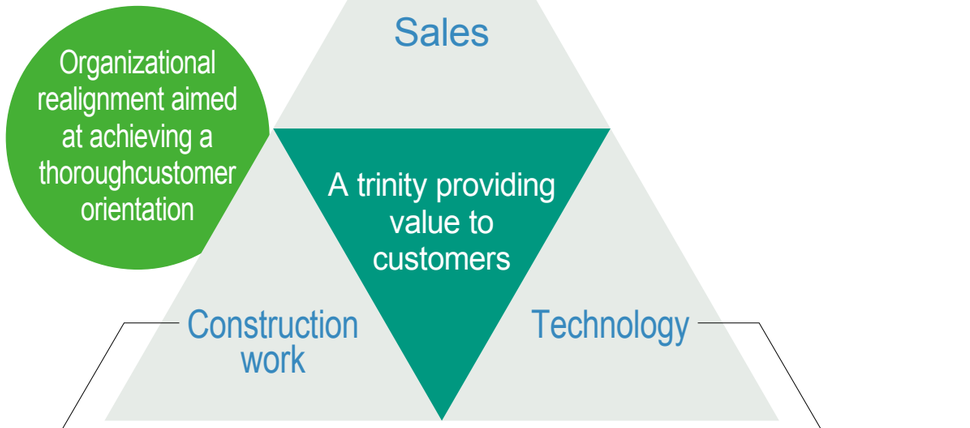
Tokyu Construction will reorganize to establish a system based on the customer's perspective. For the enforcement and expansion of our business ability, we will keep strengthening problem-solving skills, secure safety and quality, decrease environmental burden, improve productivity, and work on cost-reduction.

Reorganization of branches in the Metropolitan and East Japan areas

- Civil Project East Japan Branch mainly handles government and private civil engineering work
- Urban Development Branch mainly handles Tokyu Group and private railway companies
- Building Project Metropolitan Branch mainly handles major developers
- Building Project East Japan Branch mainly handles government and private construction

Executing sales strategies based on a customer orientation

- Strengthen sales and cultivate priority customers within our strong problem-solving skills
- Establish a more trustworthy relationship based on our construction work that will increase customer satisfaction
- Implement planned training of sales personnel



Creating structures and cultivating human resources for each priority customer and field

- Foster engineers with experience and qualifications specialized in customer relations, usage, and technology respectively
- Motivate employees through training and accelerated promotion of the younger generation
- Utilize ICT positively and train employees to improve productivity

Promoting the development of technologies in response to customer needs

- Foresee market trends and promote TD beneficial to customers
- Expand customer business through TD of shorter-term construction
- Establish a technical workforce who have a high level of proposal-making abilities

Reorganization

Customer-centered perspective

- Enhance relations with key customers and establish them as business partners
- Implement reorganization focused on customer logic rather than company logic (both in sales and construction)

Strategy execution, driving force

- Implement business strategies and measures, create a specialist organization, strengthen planning function, and speed up decision-making

System development of renovation and mid-size wooden construction businesses

- The Building Renewal Department was consolidated into TOKYU RENEWAL Co., Ltd.
- The detached houses/RF business, a shrinking market, will be made smaller to allocate HR to the small-and-mid-sized wooden construction business incrementally

Pursuing Five Elements through Our Problem-Solving Skills

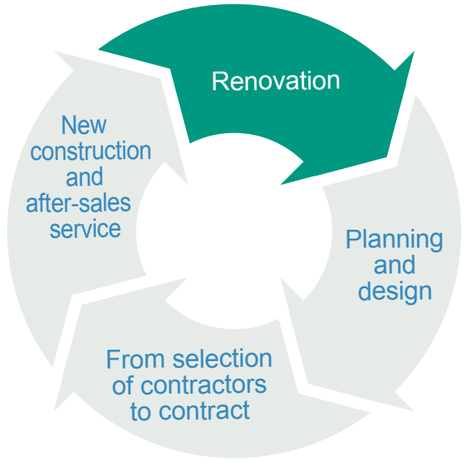
By enhancing problem-solving skills, we pursue five objectives: carry out safety-first operation, realize the quality of customer's requests and demands, implement environment-friendly management, improve productivity, and reduce costs. Our goal is to earn our stakeholders' trust.



Measures corresponding to the five elements	Safety	Quality	Environ-ment	Produc-tivity	Cost
Company-wide efforts to increase awareness of safety	●				
Enhance employee training by helping them acquire qualifications	●	●	●	●	●
Further use of ICT, BIM and CIM	●	●	●	●	●
Further application of energy-efficient construction methods	●	●	●	●	●
Secure supply capacity in cooperation with affiliates	●	●	●	●	●
Plan allocation of human resources	●	●		●	●
Enhance supporting functions in work sites	●	●		●	●
Promote effective use of resources			●		●
Prioritize developing productivity enhancement technology				●	●
Use ISO to reduce quality-control issues and environmental burden		●	●		

Renovation Business

The renovation business was consolidated into our affiliate, TOKYU RENEWAL, which leads the development of the market as a member of our group



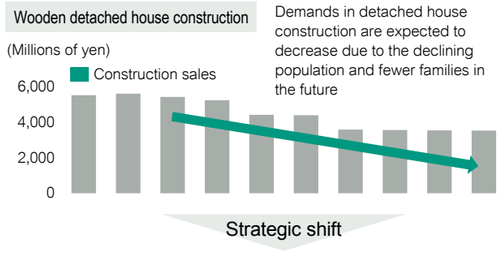
- The Group's renovation—focused management resources were consolidated into our affiliate, TOKYU RENEWAL, which will expand our business in close cooperation with the construction division
- Utilize both our construction technologies in large-scale, difficult projects and planning and design capabilities such as interior work to obtain a new customer base including commercial facilities and hotels

Mid-sized Wooden Construction Business

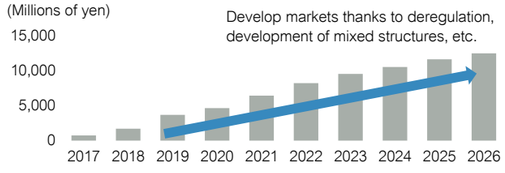
Focus on mid-sized wooden construction in anticipation of future growth and increased environmental needs

Construction sales trends

Wooden detached house construction



Mid-sized wooden construction



- Focus on nursery schools and care-service housing for the elderly. An advantage of wooden construction is that it can be utilized for the expected market expansion
- Expand new and mid-career recruitment. Endeavor to solve technological challenges step-by-step by looking ahead with a medium- to long-term perspective

3 Promoting the Diversification of Revenue Sources by Expanding Strategic Businesses

Tokyu Construction will diversify revenue sources focusing on the improvement of corporate value as well as the development of overseas operations, real estate business, PPP/Concession business, and agricultural business (paprika business), etc. to prepare for the shrinking market in the future.

Overseas Operations

Promotion of construction in South and Southeast Asia

[Areas of focus] ODA and high-rise building projects



Governance

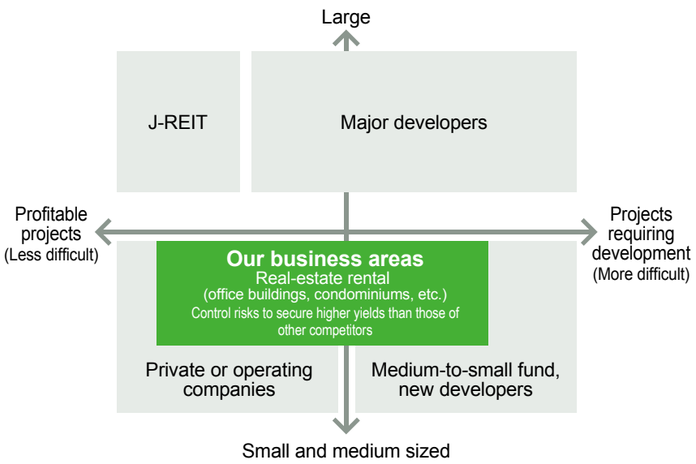
- Establish basic policies while identifying and visualizing indicators for management and risk control
- Prepare a new order-receiving system as well as risk-check and monitoring processes

Strategy

- Focusing on railways and road construction in existing regions, shift operations to Vietnam, Bangladesh and other countries
- Enhance and enlarge our organizational structure to obtain high-rise building contracts (for local blue-chip developers and private construction work for leading Japanese companies)

Real Estate Business

Acquire real estate to stabilize profits in the future



Strategy

- In addition to our major area of real-estate business (equivalent exchange, etc.), we intend to focus on asset investments as a real-estate rental business
- Obtain high-yield projects using our original value-adding measures including “Town Value-up Management”

Governance

- Being aware of risk management, establish new investment criteria and a monitoring system
- Reorganize our company structure by recruiting new staff members and using their know-how

PPP / Concession Business

Focus on concession contracts of our company’s strengths in the following areas:

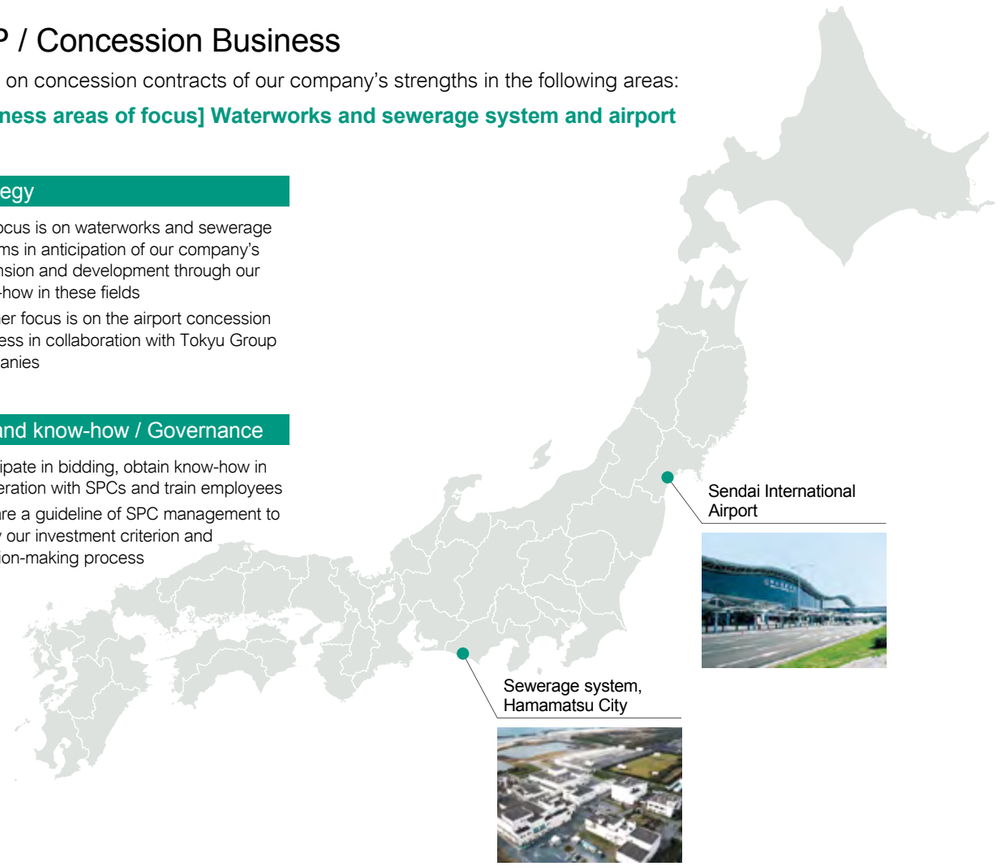
[Business areas of focus] Waterworks and sewerage system and airport

Strategy

- Our focus is on waterworks and sewerage systems in anticipation of our company’s expansion and development through our know-how in these fields
- Another focus is on the airport concession business in collaboration with Tokyu Group companies

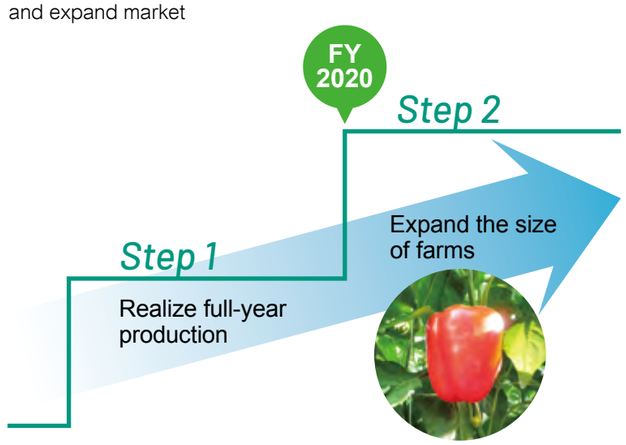
HR and know-how / Governance

- Participate in bidding, obtain know-how in cooperation with SPCs and train employees
- Prepare a guideline of SPC management to clarify our investment criterion and decision-making process



New Business (Including Paprika Business)

Stabilize the quality and volume of full-year pepper cultivation and expand market



Strategy

- Invest in new farmers to maintain full-year cultivation and stabilize quality and volume to achieve market expansion
- Create an upgraded business plan by considering further market expansion after the realization of full-year cultivation

HR and know-how / Governance

- Aggressively recruit personnel with knowledge and accumulate core know-how of management and cultivation
- Establish investment criteria, set up a decision-making body, and carry out monitoring

4 Shoring up Our Management and Financial Foundations in Support of Heightened Profitability

We aim to augment profitability through business development and diversify our sources of revenue. At the same time, learning from past mistakes we will build sound corporate governance structures and frameworks. This system will maintain a record of return of equity (ROE) that exceeds shareholders' equity costs to seek for the improvement of corporate value and a strong financial structure that can cope with the changing environment.

Enhancing Our Management Foundation

Support earning ability of respective businesses.

Strengthening corporate governance,
supported by strategic execution aimed at appropriate management and enhanced profitability

Ensuring thorough compliance
by conducting employee education and cultivating awareness

Reinforcing business risk management
in response to changes in the operating environment and the expansion of strategic business

Enrich Financial Foundation and Ensure Shareholder Returns

Secure investment capacities and enrich financial foundations to enhance risk tolerance

The size of core capital as of end of March 2018 ¥78.9 billion

"Shinka 2020" Investment Plan

Domestic construction	¥6.0 billion
Strategic business	¥16.5 billion
Management foundation, organization and HR	¥1.5 billion

For the development of corporate value, improve investment tolerance during the mid-term period and financial health to secure risk tolerance against investments

Target of core capital at the end of FY 2020 ¥110 billion or more

Discuss flexible profit return based on performance under the principle of stable continuation

"Shinka 2020" Dividend Policy

- Enhance retained profits for investment aimed at increasing corporate value and further improvement of the financial structure in preparation for mid-to-long term risks
- The target of the consolidated dividend payout ratio is more than 20%. Perform flexible profit returns based on performance including the continuous dividend payment and share buyback

Working with the Tokyu Brand

Business operations of the Tokyu Group include not only the transportation business as a base but also a wide array of business operations such as real-estate, life service business, hotels and resorts that closely support the livelihood of people.

Tokyu Construction, as a member of the group, takes part in large-sized redevelopment and railway constructions, etc. in Shibuya and along Tokyu train lines. We are involved in various collaborative projects from the view of "Tokyu Town Urban Development."

We will endeavor to create a trusty brand loved by all stakeholders by enhancing collaboration with group companies as one Tokyu from now on, and by continuing to create new value that caters to the needs of customers and society.

Tokyu Construction's Role as a Member of the Tokyu Group

Tokyu Group is an enterprise group consisting of 220 companies and eight other incorporated bodies (as of end of March 2018). It continues to create new value by combining the diversified business functions of each member based on the four business segments: transportation, real-estate, life service business, and hotel and resort segments. Tokyu Construction is identified as the real-estate business segment.

Provide railway and bus transport services supporting the livelihood of people along with the new development of airport management services

Transportation Business

Real Estate Business

Town Value-up Management
TOKYU CONSTRUCTION

Address any possible needs in real estate by utilizing the accumulation of know-how cultivated by the development of Tokyu Tama Den-en-toshi project in areas surrounding Tokyu train lines

TOKYU GROUP

Our business includes all life service businesses from shopping, art, entertainment, and sports to energy, nursing care and child care

Life Service Business

Hotel and Resort Business

We manage hotels and resort facilities in Japan and abroad to provide high-quality and refined services
We also develop and manage ski resorts and golf courses throughout Japan





Message from GM, Business Administration Division

Based on our mid-term management plan, we will invest in growth, strengthen our financial foundations, and exercise the vitality of our human resources and organization.

Masatoshi Shimizu
Director, Senior Executive Officer
General Manager, Business Administration Division

Looking Back on the Fiscal Year Ended March 31, 2018

The domestic construction market has been continuing favorably thanks to active construction demands for the 2020 Tokyo Olympic and Paralympic Games, solid public and private investments, and stable construction costs. Under these conditions, our Group carried out measures smoothly to improve corporate value based on the "Mid-Term Management Plan (FY 2015–2017)."

Accordingly, our consolidated performance in this term resulted in 299.4 billion yen (up 2.0% year on year, or Y/Y) in orders received and 320.7 billion yen (up 31.6% Y/Y) in sales. In addition, our operating profit was 21.4 billion yen (up 24.4% Y/Y), and our recurring profit was 22.1 billion yen (up 17.5% Y/Y), while profit attributable to parent company shareholders was 16.1 billion yen (up 17.7% Y/Y).

Financial Strategies

In the "Our Ideals for 2026—The Company We Hope to Be in 2026" and Mid-Term Management Plan 2018–2020 "Shinka 2020," Tokyu Construction reviewed our financial strategy by setting up quantitative targets after establishing the basic policies of enhancing our management and financial base.

The basic policies state that we need strategies to enhance our businesses and aim at growth. Securing the core capital that can tolerate possible contingencies will eliminate our investment risks and maintain financial strength. In addition, by achieving higher ROE compared to the shareholders' capital costs, we can respond to our shareholders' mid-and-long term expectations.

We have set up key financial performance indicators (KPIs) as quantitative targets for FY 2026: 7.0% or more in consolidated operating profit, 350 billion yen in consolidated sales, 10% or more in return of equity (ROE), and 150 billion yen in consolidated core capital.

Investment Strategy

As a result of the experiences during our revitalization, up to now, Tokyu Construction has not been able to invest and plant seeds in the areas other than our core business because we aggregated our resources focusing on our core domestic construction to become a healthy and independent corporation. However, we will steadily continue investment in other areas aiming at "Our Ideals for 2026—The Company We Hope to Be in 2026." We plan to invest 90 billion yen in total over nine years for profit diversification and the development of our core business: 17 billion yen for domestic construction, 70 billion yen for new business areas and 3 billion yen for our organization and human resources.

To diversify our profits, while establishing our real estate business as a pillar thanks to our past record in particular, we will also target the PPP/Concession business and agricultural business.

To obtain stable profits, we will focus on our real-estate rental business. While there are many leading real-estate companies, we will accelerate our activities to make a difference by making use of technologies and know-how of general contractors: for example, value-added renovation work and the upgrade of the structures and facilities of old buildings. Using the network of the Tokyu Group, we will aim at market expansion.

Regarding the PPP/Concession business and agricultural business, in which we are gradually building up more business, we will carefully discuss possible issues and details including risk factors for incremental expansion.

As for the construction business, we will consider M&A if required to expand operations in our blank areas (various industries, work projects) and surrounding areas (both up and down stream), as well as to increase our share of civil engineering projects.

Our organization and human resources, regarded as our core competencies, are top agenda items in the mid-term management plan. We intend to reform work practices aiming at the compatibility of job satisfaction and a pleasant working environment by not only improving treatment, education and training of employees but also organizing a favorable working environment.

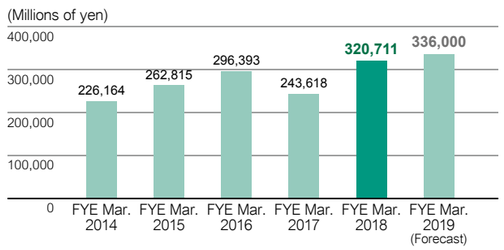
We will flexibly consider investment resources based on business size and the economic environment by relying on our core capital as our foundation while considering the acquisition of loan and corporate bonds.

Financial Base

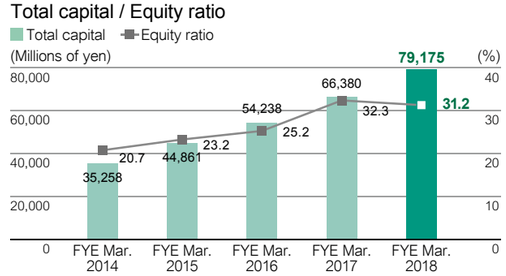
At present, the capital adequacy ratio has exceeded 30%. But compared to the other semi-major general contractors of the same class it remains half or one third of their level. Our target in FY 2020 is over 110 billion yen, which we identified as inevitable, because we need more funds for risk tolerance and financing needs that can respond to new investment strategies.

ROE is at present at a 22% high partly because we have less core capital. As we are not satisfied with this value, hereafter, considering the mid-to-long term perspective, the target of ROE will be around 13% because we feel that it is our responsibility to ensure it exceeds the shareholder's equity cost.

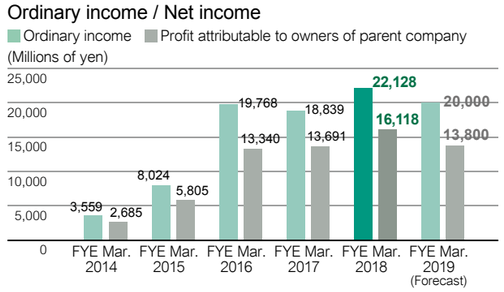
Net sales



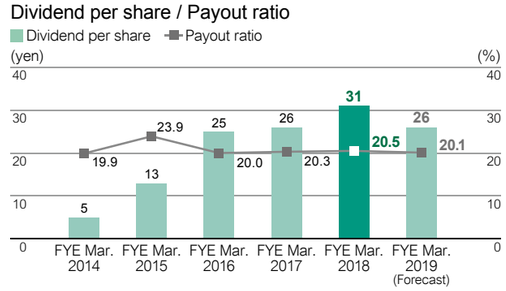
Total capital / Equity ratio



Ordinary income / Net income



Dividend per share / Payout ratio





Return to Shareholders

Our policy is to maintain a payout ratio of 20% or more. As mentioned previously, we plan to divide our equity into investment for growth and internal reserves. This target will be maintained throughout our mid-term management plan. If, however, we can obtain unexpected profits and cash flow at an earlier stage, resulting in meeting the target level of core capital, we will consider expeditious return to shareholders, including share repurchasing.

Human Resources Strategy

Our Work-style Reform Measures

The main asset of general contractors is above all "human resources." Tokyu Construction requires a higher level of human resources because we believe that our employees' experience, use of technologies and customer connections will improve our company's competence.

According to surveys focusing on job satisfaction and work environment among all industries, the construction industry is placed very high in terms of employee job satisfaction, but the work environment remains low. I recognize that this is due to longer working hours, work site environments and supporting system issues.

We need to draw out our employees' motivation and capabilities by stimulating their desire to contribute to society and exercise their capabilities on the job by making their work environments more comfortable. Last year, we reformed our personnel system, which included a work role and promotion system, along with multilateral career paths as a framework. The aim is to establish a system to help employees self evaluate to enable them to exercise their capabilities in a satisfying way. At present, we are reviewing our employee engagement survey to measure job satisfaction and working conditions. This is not merely an employee awareness survey. The purpose of the survey is to enable us to view our employees in terms of KPIs.

We established the "Work Style Reform Department" under the Business Administration Division to promote company-wide reform. We promoted company-wide operational improvement trials with a new method for reducing working hours while at the same time improving productivity through technological advances including the adoption of energy-saving methods, mechanization and IT.

Work Environment, Human Resource Development, Diversity and Governance

First of all, most of the work sites are closed four days a month. At present, engineers and technicians can take six days off every four weeks. In line with the implementation of the Work Style Reform Law and the actions of the Japan Federation of Construction Contractors, we are urging our client corporations to understand the benefits of trying to achieve a five-day work week even at work sites. This personnel system includes tele-working and flex time systems and an interval system, which allows employees who work late on one day to arrive at work late the following day. Not only office workers, but also employees at work sites can use this system to achieve work-life balance. In addition, we have a cafeteria plan which supports employees' self-development and offers company benefits through the free use of various funds to increase their motivation.

To develop human resources, we reviewed career paths and rotation and upgraded a training program this fiscal year. In particular, newcomer civil engineers can take almost a year of training to acquire basic knowledge as Tokyu Construction employees before being allocated to a work site. This new program enjoys popularity on-site as well.

In addition, we have been running a "Young Generation Project" every year to make use of employee flexibility and acting power to enhance in-house and external communication. They are given a chance to disseminate their performance externally. We feel satisfied with the results because some applicants have made impressive comments regarding this project at their interviews.

In term of diversity, Tokyu Construction has 18 foreign workers from China, Korea and other countries. We have also exceeded minimum statutory employment rate for disabled workers. However, we have only one female manager, so we have not yet achieved the government target.

We plan to employ around 20 percent of female workers in our company, including on-site engineers. Therefore, we must urgently develop a working environment where they can continue their work. It is important to address and support them during life stages such as marriage and childbearing. In addition, the work sites need equipment and facilities for women, which may be difficult to implement at small sites. We will continue discussions to find an optimum solution.

Lastly, regarding corporate governance, we introduced a stock-based remuneration plan as a transparent and objective payment system to directors to increase their awareness of contributions aimed at improving mid-to-long term performance and maximizing shareholder value. Combined with such efforts, we will implement various measures to improve the quality of our executive managers and the function of the Board of Directors.

Themes of Human Resources Strategies

Responding to Changing Work Environment
- Upper limit on overtime with a penalty clause based on the revised Labor Standards Act
- Rapid development of work-style reforms and concerns about employee outflow
- Increased competition in recruitment due to a reduction in the workforce

Business Strategy
- Recruit mid-career personnel, encourage growth of younger generation and effectively involve seniors
- Develop personnel for sales and construction work from the customer perspective (customers, application, technologies, solutions)
- Human resource allocation and development to enhance strategic businesses (such as international and PPP businesses)

Organization Strategy
- Enhance customer relations through reorganization focused on customer logic, both in sales and construction work
- Enhance functions of planning and risk management to improve employee abilities to promote business and execute strategies
- Increase operational efficiency by eliminating overlapping functions

Human Resource Planning 2018-2026

Predict Current Personnel Trends | Calculate Required No. of Personnel | Guideline for Planning In-house Transfer and Recruitment

Reorganization of Environment
- Reform our corporate structure and organizational climate to redress long working hours
- Prepare a work environment that will lead to improved operational efficiency and job satisfaction

Recruitment Activity
- Recruit more specialists to execute strategies

Transfer and Allocation
- Allocate HR systematically to focused areas and required operations
- Select and train potential management successors who can execute strategies

Development of Human Resources
- Support HR training to promptly develop workers' on-site abilities and transfer job duties smoothly

Personnel Evaluation
- Realize a new human resource system and operate a convincing and satisfying system of personnel evaluation



Civil Engineering Business

We aim to expand the potential for new growth by augmenting the capabilities of new and senior employees alike, achieving persistent business improvements, and raising productivity through ICT and other efforts.



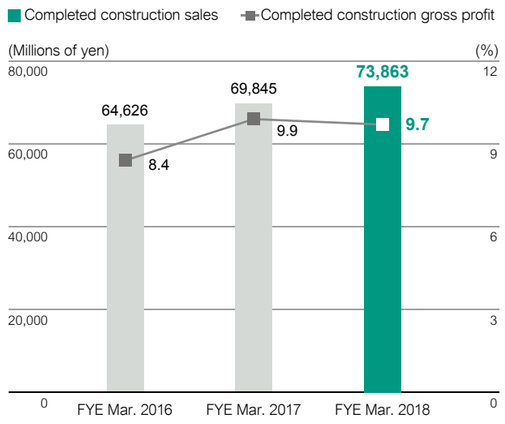
Yushi Tsukui
Director, Senior Executive Officer
General Manager, Civil Engineering Division

The Current Reality and the Task Ahead

Orders in 2017 increased by 16.9% against the previous year due to an increase in orders from private and government domestic agencies as well as from overseas. The profitability at the time of domestic orders continues to improve across all areas. Regarding completed construction sales, while we have seen a decrease in domestic government projects, trends remain steady due to an increase in overseas and domestic projects in the private sector.

Regarding the post-2020 market environment, as there is concern that shrinking demand will lead to intensified competition among semi-major and mid-sized general contractors, we will need to demonstrate competitive ability in a way that makes the most of our strengths. Furthermore, we see the development of human resources as indispensable for new growth in the civil engineering division and recognize that work-style reform, increased productivity, and expansion into new areas of business are also key issues to address.

Completed construction sales / Completed construction gross profit



Basic Policies and Key Measures

Based on our “Our Ideals for 2026—The Company We Hope to Be in 2026” and “Mid-Term Management Plan,” we will endeavor to strengthen structures in the civil engineering division and increase market competitiveness with a focus on making changes in human resourcing and organizational structure as well as ensuring we can better adapt to environmental changes. Our priority endeavors will focus on three themes: enhancing problem-solving skills to find and solve problems, improving domestic construction operations, and taking on challenges in new domains. We will strive to develop leaders, improve business operations, increase productivity using ICT and labor-saving methods, and expand overseas operations.

Enhancing problem-solving skills	• Safety, quality, environmental friendliness, productivity, and lowered costs from the customer’s perspective • Continuous operational improvement and further increase of productivity • Structures to increase employee satisfaction and 10-month training for new college graduates • Co-creation with partner companies (training technicians, employment support, etc.)
Improving domestic construction operations	• Continue select orders (emphasis on acquisition of experience and construction systems useful for the future) • Focus on railways (strength-focused expansion in this area) • Focus on general private and government construction (establish branches across a wider area)
Taking on challenges in new domains	• Intentionally pursuing collaborative work and mergers and acquisitions • Strategic emphasis on PPP/concessions and CM, etc. • Enhance and expand overseas operations

Key Endeavors

1 Making Work More Rewarding and Cultivating the Human Resources of the Future

While domestic construction demand remains strong, we have experienced a chronic shortage of engineers in relation to construction volume, resulting in early assignment of new employees and an on-the-job approach to human resource training. However, it is difficult to train new staff on-site when operations are extremely busy. We are now aware that this approach has resulted in new employees taking longer to learn the basics of their job and has been a burden to on-site operations. In response, we have created a system that provides new employees with 10 months of training at headquarters.

This training will teach employees to think like a customer and work in a way that prioritizes safety, quality, processes, and cost prior to being assigned to an on-site position. As well as developing staff who can identify issues themselves and strive to improve on-site operations, we also expect this program will help foster growth towards leadership.

Senior staff will be assisting new employees as training support staff. Passing on the valuable experiences and knowledge accumulated throughout the history of Tokyu Construction to the people who will carry our company into the future will increase business capacity in the civil engineering division. We also expect to see benefits in motivating senior staff members.



3D CAD training for new employees



New employees learning how to assemble scaffolding

2 Working Together on Various Initiatives to Increase Productivity

The construction industry is facing a serious shortage of skilled workers and engineers, demanding drastic measures be taken to ensure future capabilities. In this division, we will not only seek to secure workers, but also to promote endeavors such as continuous operational improvement, use of ICT and labor-saving methods, and work-style reform in a unified manner to solve this issue by improving productivity across our entire organization.

Our stance regarding improving operations is based on the motto “do all things thoroughly” which expresses our commitment to being aware of and acting on “doing absolutely everything we ought to do” in the pursuit of safety and quality; the fundamental values of civil engineering. We are already seeing steady results from this commitment. Furthermore, our focus for ICT and labor-saving methods is not only on developing and using this technology but also on developing human resources who can effectively utilize it. In doing so, we continue to work towards our goal of increased productivity - including improved systems and waste reduction.

In addition, our efforts to create a comfortable working environment include striving to implement work-style reform by reducing overtime, shortening working hours, and closing construction sites for six days every four weeks.



Solo surveying using ICT



Checking a 3D model using a tablet

Major Construction Achievements (Completed in 2017)

Atsugi-Minami Interchange on the Shin-Tomei Expressway
(for NEXCO Nakanihon)



Approximately 1,213 m of extension work on the interchange, including construction of bridge supports. Due to soft ground, major ground improvement work was required

The 2nd tunnel on the Yugashima section of the Amagi-Kita Road
(for the MLIT)



Tunnel on the Amagi-Kita Road, part of the Izu-Jukan Expressway, a high-standard arterial road

Oimachi Line transport capacity enhancement plan
(for Tokyu Corporation)



Expansion of the platforms at Hatanodai and Jiyugaoka stations based on the plan to upgrade the Tokyu Oimachi Line from a 6-car to a 7-car line

Building Construction Business

By adopting a customer-oriented way of thinking, strengthening our human resources and organization, and leveraging ICT and labor-saving construction methods, we will create a business foundation capable of embracing changes in the operating environment.



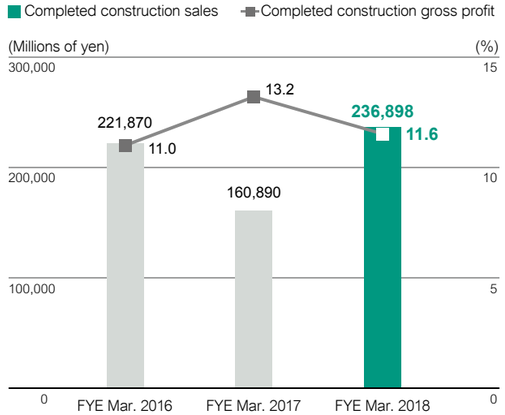
Motoyuki Takagi
Director, Senior Managing Executive Officer
General Manager, Building Construction Division

The Current Reality and the Task Ahead

Thanks to a good market environment in 2017, orders and profitability at the time of order remained high. While orders from Tokyu Group companies and domestic government agencies increased, there was an overall decrease of 2.1% due to a decline in orders from the domestic private sector. Completed construction sales increased by 76 billion yen versus the previous year due to progress in large-scale construction projects. Regarding profit, we achieved our highest profit thus far due to settling construction costs and other factors.

We are expecting a harsher market environment post-2020, so this year, we have implemented organizational changes to integrate operations with the aim of establishing a customer base that is not influenced by economic fluctuations and price competition. Alongside these changes, we will further improve productivity by optimizing construction plans to include staff allocation and actively implementing labor-saving methods in construction, etc.

Completed construction sales / Completed construction gross profit



Basic Policies and Key Measures

The Building Construction Division is working towards enhanced operations with a customer perspective and increased problem-solving skills to build a steady customer base as we strive to become a corporate group resilient in the face of environmental change—part of our “Our Ideals for 2026—The Company We Hope to Be in 2026.” In addition to expanding our scope from the flow consumption model to the stock maintenance model, we are expanding operations in renovations, medium-scale woodwork, and promoting international business support; areas in which market growth is forecast for the near future.

Enhanced operations with a customer perspective	• Enhance upstream sales through organizational integration (proposals, cost planning, design and construction, collaboration with architectural design offices) • Training sales and construction personnel to suit customer needs and increasing engineering capabilities
Increased problem-solving skills	• Continued pursuit of safety, quality, environmentally-friendliness, efficient processes, and lowered costs • Enhanced structures to support work sites (start-up and project-specific support) • Company-wide optimization simulation of intentional orders and staff allocation • Wider use of labor-saving methods
Taking on challenges in new domains	• Focus on renovations and medium-scale woodwork • Enhance and expand human and technical support of international operations, including business know-how

Key Endeavors

1 Aligning Our Organization along a Customer Orientation by Creating an Integrated Team of Sales, Construction, and Other Personnel

In this division, we aim to become a trusted partner of our customers by striving to think like they do and offer proposals and services suited to our customers. As a result, we believe we will be able to ensure we are receiving orders on a regular basis and with this in mind, we implemented organizational reforms in April of this year that allow us to provide service solutions in a more integrated manner.

One of these reforms focused on enhancing organizational integration of sales and construction and upstream sales. We integrated the sales and construction divisions, which were previously split vertically, and will continue to work toward a company-wide focus on customer satisfaction and optimizing orders and staff allocation. We will also strive to increase customer satisfaction through an integrated upstream sales process from proposal to cost planning, design and construction, and collaboration with partner companies.

Another way we will do this is by establishing a site support team. In response to a chronic shortage of on-site manpower, we dispatch support teams to help with preparation of drawings, etc. at the start of a construction project when under-staffing is usually at its worst. We strive to remain flexible in our response to fluctuating work site needs by sending concentrated human resources as required to increase efficiency and productivity.



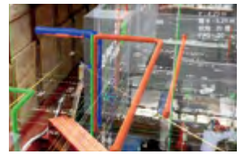


2 Development of Technology That Offers New Value to Customers

We actively use ICT not only to add innovation to business processes but also to offer new value to our customers. The following are two key achievements attained by using ICT:

Use of MR*1 Technology On-Site

We are developing a cutting-edge system that uses Microsoft HoloLens mixed reality goggles to help workers check the arrangement of parts and equipment on-site to actual scale. Workers can easily check for inconsistencies between the actual site and drawings - improving quality and saving labor. We expect this technology to be useful in maintenance and management in the future, resulting in increased convenience for customers.





Using Microsoft HoloLens to understand drawing information

Innovative Construction Simulation Using BIM*2

“FLIGHT OF DREAMS,” is a groundbreaking commercial complex centered around the exhibition of the first Boeing 787. This was the first construction project to display an aircraft inside a building and we used BIM construction simulation in order to build a high-quality building.

*1 MR : Mixed Reality
*2 BIM : Building Information Modeling

Major Construction Achievements (Completed in 2017)

Wakayama Local National Government Building (MLIT)



Public project involving construction of over 20,000 m² of government buildings. This project was rated as a IV on the general building project difficulty scale - the highest level - but we were awarded a top score upon completion

Rocker Enlisted Club (JED)



Extremely complex construction project that prioritized US architectural design. Our client was impressed with our comprehensive use of company technological capabilities

GLP Nagareyama (Nagareyama I Logistics SPC)



We intentionally made use of labor-saving methods to improve productivity. In particular, it was our first attempt at roll matting and we were able to learn new techniques that we can apply in future projects

Building Construction Division *Highlight*

Shibuya Station South District **SHIBUYA STREAM** Project

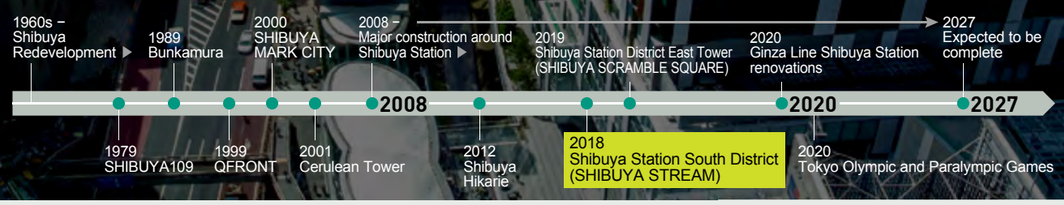
Shibuya Urban Renewal From 2008 - SHIBUYA STREAM opened in September 2018, following on from Shibuya Hikarie in 2012. We're using our construction skills to truly make Shibuya the "No.1 must-see destination in Japan."

Building Summary

- Opened: September 2018
- Owned by: Tokyu Corporation, land owners in town areas adjacent to the Toyoko Line
- Construction site: 3-21-3, Shibuya, Shibuya-ku, Tokyo
- Deferred floor space: Approx. 116,000 m²
- Number of floors: 35 stories above the ground and 4 stories underground
- Height: Approx. 180 m

Overall Roadmap for Redevelopment of Shibuya Station Area Projects

Tokyu Construction continues to contribute to creating value that will lead Shibuya into the future through construction of landmark buildings such as SHIBUYA109 and involvement as a general contractor in Shibuya; taking on a leading role in annual large-scale projects.



Creating a new sense of charm in Shibuya Station South District

The Shibuya Station South District Project aims to go underground and redevelop the now unused Tokyu Toyoko Line Shibuya Station platform, track, and surrounding area. With construction of a new building, SHIBUYA STREAM, and public and private collaboration to recreate Shibuya River and its surroundings, the south side of Shibuya Station is set to become a thriving area that will attract creative workers after long being separated by the Metropolitan Expressway No. 3 Shibuya Route and National Route 246.



©TOKYU CORPORATION

Strengths we discovered through this project

Bringing Civil Engineering and Construction together to Carry Out Complex Jobs

This project is unique in that it is a large-scale development project including both civil engineering and construction work. First, we carried out land readjustments such as widening roads and replacing bridges, then began simultaneous civil engineering and construction of high-rise buildings and repairs to the Shibuya River revetment, etc. Although the natures of civil engineering and construction are quite different, these two processes were carried out as one and the insight and know-how we accumulated through years of experience enabled us to collaborate smoothly to manage processes and work towards the completion of an extremely difficult project.

Intricate Process Management and Doing Our Utmost to Ensure Safety

This project involves construction in one of the most population-dense areas of Japan, therefore demanding thorough process management. We have been careful to maintain close relationships throughout the project as it involves nearby residents, railroads, expressways, and a river. More than anything, we are doing our utmost to maintain good communication with the local community by offering informative public events, etc. Thanks to these efforts we gained much support from the local community and there have been very few complaints throughout the project. We also posted three times more safety officers and security guards than usual to do our utmost to ensure the areas around work sites were safe.



INTERVIEW

Interview with the Head of Project

Toyohisa Fujihira
Project Manager

I oversaw the Shibuya Station South District work site for this project for over 5 years. This project felt like a jigsaw puzzle in which civil engineering and construction pieces were put together one by one to eventually form a whole.

One of the strengths we gained from this project is that we now know the Shibuya area extremely well. Another is that we are continuing our work with Tokyu Corporation. We believe this accumulated experience and know-how is resulting in sound production that includes ongoing management such as maintenance and renovations as well as building construction.

TOPICS

Women's-only Rest Area: South Town Station

As part of our efforts to support the success of our female engineers and technicians during construction of SHIBUYA STREAM, we set up a top-standard women's-only rest area on-site called the "South Town Station."

Usually on-site rest areas only include basic amenities such as bathrooms and fold-up tables and desks, but as this site was in Shibuya, this facility also included showers and an area where women could do their makeup so that our female staff could dress themselves up and head off to enjoy a night out after work.

We want to make the most of our experience on this project and work with our partner companies to plan and implement all sorts of improvement proposals to respond to the many issues the construction industry will continue to face in the future.



The concept behind SHIBUYA STREAM

Person and river and time go by "Sacred place for creative workers"

CREATIVE WORKERS	Creating a work environment perfect for creatives.
NEW STREAM	Refining the pedestrian network to create a new flow of foot traffic.
UNIQUE ENVIRONMENT	Redesigning Shibuya River to create a unique and attractive city environment.



Carrying out large-scale projects with an awareness of the need to collaborate

Real Estate Business

By leveraging our characteristics and strengths as a general contractor, we will contribute toward achieving the results of the mid-term management plan by focusing on the growing real estate business.



Junichi Omuro
General Manager, Real Estate Division

The Current Reality and the Task Ahead

In the domestic real estate market, the “Triple low status paradigm continues: The investment yield is low, the increasing rate of office rental fees is low, and the market distribution against demands is low.” With the maturing of the market, we anticipate that prices will remain high.

This April Tokyu Construction initiated our mid-term management plan in which we established the Real Estate Division situating real estate as one of our strategical businesses for profit diversification. Our aim is to expand our business through our new investment criteria and the newly established management system. But the market is highly competitive and lowered yields will be inevitable. We feel that our investment must be focused on the less competitive and higher yield areas.

Basic Policies and Key Measures

We intend to focus on office buildings and commercial facilities as well as rental apartments. We will aggressively obtain real estate properties on the premise of long-term holdings.

Using our strength as a general contractor and a member of the Tokyu Group focusing on the business operations in Shibuya and along the Tokyu Railway Line, we can enhance profitability and obtain chances to purchase difficult properties over our competitors.

For example, we obtained some properties in FY 2016, and renovated them for earthquake reinforcement and for legal compliance to make small offices. On the premise of mid-and-long term rental business operations we will use our strengths to continue managing these kinds of rental offices.

Key Endeavors

(1) Secure and develop skilled workers to obtain real estate properties

(2) Develop an information network

(3) Maximize profits of the existing real estate properties

(4) Carry on an appropriate portfolio strategy

In addition to using our strengths, improving know-how, and securing asset management experts, we will invest human resources into rental business to attain our mid-term plan target by aggressively exchanging information with other real-estate divisions of the group.

In FY 2018, thanks to collaboration with the group, we have more and more property information coming in which allowed us to acquire properties in front of the stations along the Tokyu Railway Line. We are determined to continue such operations with our group synergy.

Major Achievements (Recent Properties Obtained)



Crescent Hills Minami Aoyama (Conversion office)
(Obtained in Dec. 2017/ Minami-Aoyama, Minato-ku)



Sendagaya Oka Sekkei Bldg. (Conversion office)
(Purchased in Nov. 2016/Sendagaya, Shibuya-ku)



Shogetsu Kashima Bldg.
(Purchased in May 2018/Tsunashima-higashi, Kohoku-ku, Yokohama)

International Business

As a strategy to diversify revenue sources, we will work to shift human resources from Japan, buttress our foundation, and accelerate growth.



Shigehiko Shibusawa
Executive Officer
General Manager, International Division

The Current Reality and the Task Ahead

Our international business is one of our strategical pillars for profit diversification in the mid-term management plan.

Tokyu Construction has opened offices in six cities in Southeast and South Asia so far. We also created local corporations in Bangkok, Jakarta, and Yangon to develop infrastructure such as railways and roads funded by ODA along with investing in private-sector construction of factories and serviced apartments. We are also constructing high-rise buildings and exporting used railway cars to these regions from Japan. This is our first challenging experience to do business with different cultures and customers involving new project size, contents, and forms of contracts, etc.

We will need to accumulate further know-how, develop a system, and establish management and risk controls. First of all, we must secure and train expert personnel at the earliest stage in spite of our busy domestic business responsibilities.

Basic Policies and Key Measures

In FY 2018 we will develop human resources for their business and language skills as well as cross-cultural communication skill through on-site practices to prepare them for transfer overseas. Our business growth will be accelerated based on this kind of HR development along with strengthened corporate governance.

The markets in Southeast and South Asia constantly offer attractive projects through the construction of high-rise buildings such as offices, condominiums, hotels; development of large industrial sites, transportation, and lifelines; improvement of schools, hospitals, production facilities, international airports and ports; and energy development. We expect to stimulate private-sector demands by increasing public work projects funded by ODA. On the other hand, we need to carefully select areas because each developing area has its own respective social and economic development stage. We will need to choose projects where we can exercise our strength by concentrating on our competitive fields while balancing ODA infrastructure construction with private-sector investment.

Key Endeavors

(1) ODA projects: Secure railway and road construction achievements and expand markets

(2) Private sector projects: Expand the rate of non-Japanese projects

(3) High-rise building projects: Select orders and strengthen our system

Recent Major Construction Projects



Jakarta MRT System
(Indonesia)



New Thaketa Bridge, Yangon City
(Myanmar)

Activities of the Tokyu Group



Management support for Tokyu Group of Asia Junior Succor Festival in Singapore

Board of Directors

(As of June 28, 2018)







Tsuneo Iizuka

Representative Director, Chairman

Apr. 1971 Joined Tokyu Construction Co., Ltd.
Oct. 2003 Executive Officer of the Company
Jun. 2004 Senior Executive Officer of the Company
Jun. 2006 Director, Senior Executive Officer of the Company
Apr. 2008 General Manager, Civil Engineering Division of the Company
Jun. 2009 Representative Director, Senior Managing Executive Officer of the Company
Apr. 2010 Representative Director, President of the Company
Jun. 2018 Representative Director, Chairman of the Company (to present)



Toshio Imamura

Representative Director, President

Apr. 1974 Joined Tokyu Corporation (“Tokyu”)
Jun. 2007 Director of Tokyu
Jun. 2008 Managing Executive Director of Tokyu
Apr. 2011 Senior Managing Executive Director of Tokyu
Apr. 2014 Representative Director & Vice President of Tokyu
Jun. 2015 Representative Director, Senior Executive Vice President of Tokyu
Apr. 2018 Counselor of the Company
Jun. 2018 Representative Director, President of the Company (to present)



Mitsuhiro Terada

Representative Director, Senior Executive Vice President

Apr. 1979 Joined Tokyu Construction Co., Ltd.
Jun. 2010 Executive Officer of the Company
Apr. 2012 Senior Executive Officer of the Company
Jun. 2012 Director, Senior Executive Officer of the Company
Apr. 2013 General Manager, Civil Engineering Division of the Company
Apr. 2016 Director, Senior Managing Executive Officer of the Company
Apr. 2018 Representative Director, Senior Executive Vice President of the Company (to present)
In charge of overseeing the Company’s overall business, Safety & Environment Department, and International Department of the Company (to present)



Kazushige Asano

Representative Director, Senior Executive Vice President

Apr. 1974 Joined Tokyu Construction Co., Ltd.
Jun. 2005 Director, Executive Officer of the Company
Jun. 2008 Executive Officer of the Company
Apr. 2011 Senior Executive Officer of the Company
Jun. 2012 Representative Director, Senior Executive Officer of the Company
Apr. 2013 General Manager, Sales & Marketing Division of the Company
Apr. 2014 Representative Director, Senior Managing Executive Officer of the Company
Apr. 2018 In charge of Sales & Real Estate Division of the Company (to present)
Jun. 2018 Representative Director, Senior Executive Vice President of the Company (to present)



Motoyuki Takagi

Director, Senior Managing Executive Officer

Apr. 1979 Joined Tokyu Construction Co., Ltd.
Apr. 2011 Executive Officer of the Company
Apr. 2016 Senior Executive Officer of the Company
General Manager, Building Construction Division of the Company
Jun. 2016 Director, Senior Executive Officer of the Company
Apr. 2018 General Manager, Building Construction Division, in charge of Institute of Technology and Wooden Building Construction Division of the Company (to present)
Jun. 2018 Director, Senior Managing Executive Officer of the Company (to present)



Masatoshi Shimizu

Director, Senior Executive Officer

Apr. 1982 Joined Tokyu Construction Co., Ltd.
Apr. 2012 Executive Officer of the Company
Apr. 2017 Senior Executive Officer of the Company
General Manager, Business Administration Division of the Company (to present)
Jun. 2017 Director, Senior Executive Officer of the Company (to present)



Yushi Tsukui

Director, Senior Executive Officer

Apr. 1981 Joined Tokyu Construction Co., Ltd.
Apr. 2013 General Manager, Project Engineering Department, Civil Engineering Division of the Company
Apr. 2015 Executive Officer of the Company
General Manager, Osaka Branch of the Company
Apr. 2018 Senior Executive Officer of the Company
General Manager, Civil Engineering Division of the Company (to present)
Jun. 2018 Director, Senior Executive Officer of the Company (to present)



Hiroshi Otsuka

Outside Director

Apr. 1958 Joined Keisei Electric Railway Co., Ltd. (“Keisei”)
Jun. 1992 Managing Director of Keisei
Jun. 1995 Senior Managing Director of Keisei
Jun. 1996 Representative Director, Senior Managing Director of Keisei
Jun. 1997 Representative Director, Vice President of Keisei
Jun. 1998 Representative Director, President of Keisei
Jun. 2004 Representative Director, Chairman of Keisei
Jun. 2008 Advisor of Keisei
Jun. 2010 Director of the Company (to present)
Jun. 2018 Honorary Advisor of Keisei Electric Rail Co., Ltd. (to present)



Yutaka Kubota

Outside Director

Apr. 1970 Joined Sagami Railway Co., Ltd. (“Sagami”)
Jun. 1998 Director of Sagami
May 2000 Representative Director, President of Sotetsu Real Estate Co., Ltd.
Nov. 2000 Representative Director, President of Sotetsu Home Co., Ltd.
Mar. 2001 Representative Director, President of Sotetsu Real Estate Sales Co., Ltd.
Jun. 2002 Managing Director of Sagami
Jun. 2011 Representative Director, President of Sotetsu Construction Co., Ltd.
Jun. 2015 Director of the Company (to present)



Masao Tomoe

Outside Director

Apr. 1976 Joined Tokyu Corporation (“Tokyu”)
Jun. 2007 Director of Tokyu
Apr. 2011 Managing Executive Director of Tokyu
Apr. 2014 Senior Managing Executive Director of Tokyu
Jul. 2014 Executive General Manager of Human Resources Headquaters of Tokyu
Jun. 2015 Director & Senior Managing Executive Officer of Tokyu
Apr. 2017 Representative Director & Vice President of Tokyu (to present)
Jun. 2018 Director of the Company (to present)



Atsuyoshi Maeno

Full-time Auditor

Apr. 1980 Joined Tokyu Construction Co., Ltd.
Oct. 2003 General Manager, General Affairs Department of Nagoya Branch, Wide Area Division and Manager, Safety, Environment & Quality Department of the Company
Jan. 2009 Auditor and Head of Secretariat of the Company
Jun. 2012 Full-time Auditor of the Company (to present)



Satoshi Hashimoto

Full-time Auditor

Apr. 1981 Joined Tokyu Construction Co., Ltd.
Apr. 2010 General Manager, Internal Control Office of the Company
Apr. 2012 Executive Officer of the Company
Jun. 2016 Full-time Auditor of the Company (to present)



Isao Onda

Auditor

Oct. 1973 Passed second stage examination of CPA examination
Joined EIKO Accounting Corporation
Sep. 1977 Registered as Certified Public Accountant
Dec. 1977 Registered as Certified Tax Accountant
Jul. 1990 Partner of Century Audit Corporation (“Century”)
Jun. 1993 Director of Century
Jun. 2002 Executive Director of Ernst & Young ShinNihon Audit Corporation
Sep. 2008 Executive Director of Ernst & Young ShinNihon LLC (“EY ShinNihon”)
Sep. 2010 Advisor of EY ShinNihon
Apr. 2011 Representative Director, President & CEO of GTM Research Institute Inc.
Jun. 2012 Auditor of the Company (to present)
Dec. 2015 Representative Director, President of GTM Research Institute Inc. (to present)



Youichi Saito

Auditor

Oct. 2005 Passed National Bar Examination
Sep. 2007 Completed training of legal apprenticeship and registered as attorney
Member of Crime Victim Support Center of Daini Tokyo Bar Association
Sep. 2015 Member of Discipline Committee of Daini Tokyo Bar Association (to present)
Apr. 2016 Member of Legal Apprenticeship Committee of Daini Tokyo Bar Association (to present)
Jun. 2016 Auditor of the Company (to present)



Yoshikazu Kato

Auditor

Apr. 1982 Joined the Science and Technology Agency, Cabinet Office
Jul. 2001 Director of Research Environment and Industrial Cooperation Division, Research Promotion Bureau, Ministry of Education, Culture, Sports, Science and Technology (“MEXT”)
Jul. 2008 Counselor to Director General for Science, Technology and Innovation Policy, Cabinet Office
Jul. 2010 Deputy Director-General, Research and Development Bureau, MEXT
Apr. 2012 Vice President of Japan Aerospace Exploration Agency
Apr. 2015 Director of Technology Division, Cabinet Satellite Intelligence Center, Cabinet Intelligence and Research Office, Cabinet Secretariat
Nov. 2017 Specially Appointed Counselor, Remote Sensing Technology Center of Japan (to present)
Jun. 2018 Auditor of the Company (to present)

Corporate Governance

Our Fundamental Approach to Corporate Governance

At Tokyu Construction, we have a business philosophy based on our mission statement, management policy, and principles of conduct that describes the type of company we seek to become.

To make this vision a reality, we are working to contribute to society through our business activities and achieve sustained growth and higher mid- to long-term corporate value. It is crucial that we foster a strong corporate governance structure to achieve these goals, hence we are always striving to make improvements that will result in more effective and efficient corporate governance.

We have also come up with the "Tokyu Construction Corporate Governance Basic Policy," which includes our fundamental approach to corporate governance, as well as establishing relevant standards, etc.

Corporate Governance Structure

[Board of Directors]

The Board of Directors consists of ten members (including three outside directors and two independent appointees). Directors serve a one-year term to clarify management responsibilities for each fiscal year and to build a dynamic and responsive management structure. Based on their extensive knowledge and experience, outside directors provide much-needed perspective in deliberation of issues and offer a sound management structure to ensure directors are carrying out their responsibilities appropriately.

[Executive Officers]

To expedite decision making in business operations and strengthen the functions of each division, the Board of Directors appoints 28 fulltime executive officers who, like directors, serve one-year terms.

[Management Meeting]

To discuss and decide on important management policies and issues, the Management Committee, composed of seven directors and chaired by the president, is convened as needed (45 times during FY 2017).

[Audit Committee and Auditors]

The Audit Committee consists of five auditors (all independent appointees including three outside), with outside auditors possessing expertise as lawyers and/or certified public accountants, to audit for compliance in management practices. Each auditor participates in Board of Directors meetings and other important meetings and checks over important decision-making documents related to the area for which he or she is responsible in order to understand the process of decision making on important issues and monitor business operations. Additionally, each auditor also conducts investigations into relevant business operations and, if deemed necessary, receives business reports from subsidiaries and audits the work of their directors, reporting results to the Board of Directors. Dedicated staff members are also assigned to the Audit Office to support these operations.

[Auditors]

In FYE March 2018, our financial audit was carried out by two certified public accountants, Hiroaki Matsuo and Hiroto Inoue, who are both members of Ernst & Young ShinNihon LLC. We also have six other certified public accounts and thirteen other staff involved in financial auditing.

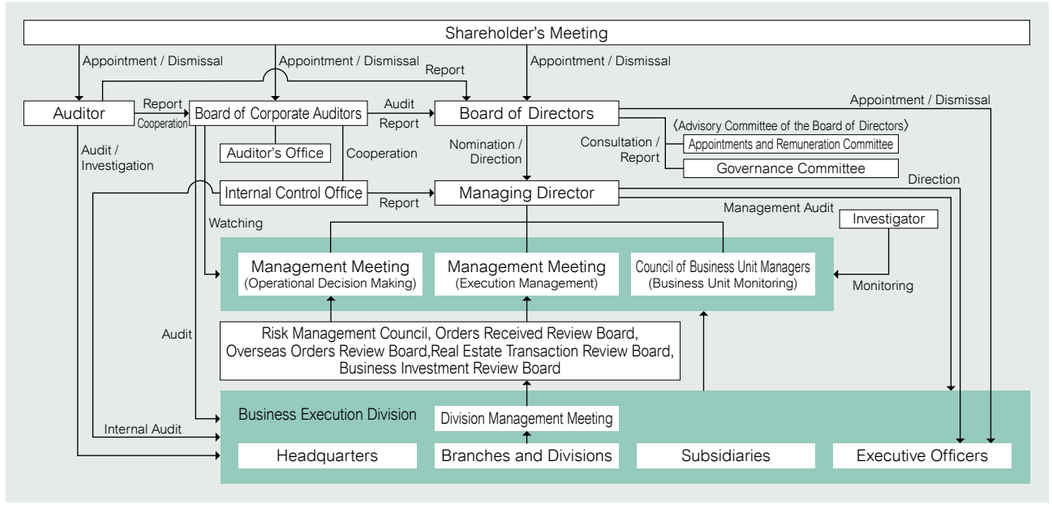
[Appointments and Remunerations Committee]

As an advisory organ of the Board of Directors regarding the selection and payment of directors, auditors and executive officers, the Appointments and Remunerations Committee is composed mainly of independent outside directors to ensure the autonomy, objectivity and accountability functions of the Board of Directors regarding the appointment and payment of company directors.

[Governance Committee]

As an advisory organ of the Board of Directors on general issues of corporate governance, the Governance Committee is composed mainly of outside directors and auditors. This committee works to ensure sustained improvements in thorough corporate governance practices, as well as corporate value.

Corporate Governance Structure



Internal Audit and Monitoring of Corporate Auditors

To prevent company losses, preserve properties and perform appropriate operational management, the Internal Control Office (nine members) performs an internal audit based on the fiscal year audit plan. As well as being reported to the management, the results of the internal audit will be utilized by the Board of Corporate Auditors in close cooperation with auditors.

Each corporate auditor participates in Board of Directors meetings and other important meetings and checks over important decision-making documents related to the area for which he or she is responsible to understand the process of decision-making on important issues and monitor business operations. Additionally, each corporate auditor also conducts investigations into relevant business operations and, if deemed necessary, receives business reports from subsidiaries, audits the work of their directors and reports results to the Board of Directors.

Our corporate auditors work together in close coordination with the auditors by having regular meetings to discuss auditing structure, planning and operational status and if required, exchanging opinions and information to enhance effectiveness of monitoring functions.

Directors' Monitoring of the Business Execution Division (Management Monitor)

The Directors started monitoring of the business execution division in 2012. They are required to check and evaluate the management of each division in order to "organize a structure and manage it to perform appropriate business operations" for all branches, business units and domestic and overseas subsidiaries every year.

Audits are made keeping the following viewpoints in mind: evaluation of compliance activities and control environments; monitoring of independent audits; and improvement in business processing. Considering these viewpoints, corporate auditors interview division managers and visit work sites to exchange opinions with every employee to confirm that the policies of headquarters, branches and business units are appropriately transmitted and understood.

Address of the Code of Corporate Governance

Visit the following website (Company Information/Corporate Governance) for details.
* Linked in the "Corporate Governance Report (PDF)" (Japanese only)

https://www.tokyu-cnst.co.jp/company/governance.html

Analysis and Evaluation of the Board of Directors' Effectiveness

At Tokyu Construction, our Basic Policy of Corporate Governance specifies that a report on whether the Board of Directors is functioning appropriately is evaluated and made public every year.

In FY 2017 in cooperation with outside consultants, all of the Board's directors and auditors answered an anonymous questionnaire on the effectiveness of their work so that all members could express their opinions freely.

Regarding the issues that were highlighted by the survey, the Governance Committee discussed them, and the Board of Directors reviewed them to test their effectiveness. The outline is as follows:

In general, the evaluation was positive in terms of the board's effectiveness. The issues identified regarding the timing of the Board of Directors' document submissions and the contents of their reports in FY 2017 were found to be consistently improved. Some comments, however, stressed the need for more active discussion in meetings, which will be addressed hereafter.

Directors and Corporate Auditors' Compensation

Category	Renumeration	Amount (Millions of yen)
Directors (Outside directors)	11 (2)	212 (13)
Corporate auditors (Outside auditors)	5 (3)	40 (14)
Total (Outside members)	16 (5)	253 (27)

(Remarks)
1. As of end of FY 2017, we have eight directors (two outside) and five auditors (three outside).
2. Three directors who retired at the end of the 14th Regular Shareholders' Meeting held on June 27, 2017 were paid and are included in the number on the left.
3. At the 5th Regular Shareholders' Meeting held on June 25, 2008, the amount of director compensation was passed noting that "the annual payment is under ¥360 million (¥30 million for externals, excluding employees concurrently serving as directors) and the annual payment for corporate auditors is under ¥96 million.
4. The amount of compensation for respective directors is based on the standards specified in our company including their position and operational status, as well as employee payment rates. It is also decided after the resolution of the Board meeting based on the consultation and report of the Appointment and Renumerations Committee, which mainly consists of the independent external directors who make up the advisory committee of the Board of Directors. Compensation of respective auditors is decided through the discussion within the Board of Corporate Auditors.

Reason for Appointment of External Directors / Board Meeting Attendance Rate

Name	Independent Officer	Reason for Appointment	Attendance Rate	
			Board of Directors Meetings	Board of Corporate Auditors
Hiroshi Otsuka	○	Mr. Otsuka has been elected as an outside director due to his rich management experience and broad insights as corporate manager, as well as our expectations that he will contribute to the management by offering opinions from the perspective of a railway business expert.	14/15 times	—
Yutaka Kubota	○	Mr. Kubota has been elected as an outside director due to his rich management experience and broad insights as corporate manager, as well as our expectations that he will contribute to the Company's management using his opinions from the viewpoint of one familiar with the railway and construction businesses.	15/15 times	—
Masao Tomoe		Mr. Tomoe is the representative director of Tokyu Corporation, a core company of the Tokyu Group. He has been elected as an outside director due to his rich management experience and broad insights as corporate manager, as well as our expectations that he will contribute to the Company's management using his opinions from the viewpoint of one familiar with the overall knowledge of business administration.	Appointed in June 2018	
Isao Onda	○	Mr. Onda has been elected as an outside auditor with the expectation that he will use his expertise as a certified public accountant (CPA) and certified tax accountant for our auditing work.	15/15 times	5/5 times
Youichi Saito	○	Mr. Saito has been elected as an outside auditor due to his expertise as a lawyer.	15/15 times	5/5 times
Yoshikazu Kato	○	Mr. Kato has been elected as an outside auditor due to his rich experience in administrative agencies and broad insights accumulated throughout his career.	Appointed in June 2018	

Standard for Independence of Outside Directors and Outside Corporate Auditor

Please visit the following website (Company Information/Corporate Governance).
* Linked in the "Policy and Standards on Corporate Governance, etc. (PDF) (Japanese only)."

https://www.tokyu-cnst.co.jp/company/governance.html

Risks

Risk Management System

We are always working to maintain compliance and manage risks related to factors such as the environment, disasters, quality and information security through measures including improving department regulations. Also, in order to avoid risks related to construction orders and real estate transactions, we established the "Headquarters Risk Management Council," "Orders Council," "Overseas Orders Council," "Real Estate Transactions Committee" and the "Business Investments Review Board" as cross-departmental structures to review and monitor risks. We discuss and review the status of risk management and other factors at the Council of Business Unit Managers, which holds meetings on a regular basis in order to report and discuss all types of operational issues.

Compliance

We consider compliance with corporate ethics and laws to be non-negotiable and the most fundamental part of CSR but realize that we need to create systems and offer thorough staff training in order to completely eliminate violations caused by lack of knowledge or awareness. In order to make our understanding of "always doing what should be done" a part of Tokyu Construction's company culture, we have created action guidelines and norms which we seek to imprint on our staff through the use of training materials, including online learning.



Compliance poster

Business Continuity Management

We came up with a business continuity plan (BCP) in 2008, in preparation for large-scale disasters, and received a certification for "Construction Company Continuity Capacity During Disasters" from the MLIT Kanto Regional Development Bureau in 2009. We have renewed this certification every two years since.

Our efforts in business continuity include establishing a training plan based on our BCP and having executives participate in training and workshops alongside other staff. This allows us to notice and review relevant issues and implement a PDCA cycle, which is then reflected in our BCP.

In order to secure a working environment for our employees, we are refining internal systems by distributing emergency supplies, such as food and drink that would be required during blackouts and/or phone line congestion, in line with Tokyo Metropolitan regulations.

As our headquarters is located opposite Shibuya Station, one of Japan's major transportation hubs, we are a part of a council comprising Shibuya Ward Office staff and local businesses who are responsible for helping people unable to return home in the case of a disaster. We regularly participate in emergency drills run by the Shibuya Ward Office and this council and support these efforts as a member of the community. Furthermore, we intend to fulfill our social responsibilities by doing our utmost to ensure early restoration of infrastructure - especially access to disaster response routes that are essential for search and rescue. To do so, we have entered into an agreement to work alongside national and prefectural government agencies and infrastructure companies in the case of a disaster, as well as with our partner companies.



BCP training carried out in September 2017 involving a southern inner-city earthquake scenario.



As part of BCP training we established an emergency response department at headquarters. This department would be responsible for collating information regarding the safety of individuals and damage to work sites.

Operational Risk, etc.

This information can be found on the following websites (Investor Relations/Annual Report):
* Link to "15th Annual Report (PDF)" within the page.

https://www.tokyu-cnst.co.jp/english/ir/library/security_report.html

CSR

Key CSR Themes and Endeavors

The 7 Core Themes of ISO 26000	Key Theme	Main Initiatives	Activities Being Monitored
Principle of social responsibility			
1. Organizational governance	Consideration of stakeholders	Dialogue with stakeholders Collaboration with stakeholders	Dialogue with shareholders and investors Customer satisfaction and employee awareness surveys Exchange of ideas and collaboration with partner companies
2. Human rights	Efforts in sound management	Securing sound profit Corporate Governance Compliance Risk Management	Activities targeting enhanced corporate governance/better compliance, BCM training etc.
3. Labor practices	Efforts in health and safety	Health and safety measures in construction Work environment improvement measures	Activities, HR development, and training based on health and safety policies/health and safety management systems, activities to improve work environment, etc.
4. The environment	Efforts to increase employee satisfaction in the workplace	Employment/diversity (women, foreigners, etc.) Healthy work-life balance Human resource development/ education and training activities	Activities based on HR strategies/the HR development master plan Action plans based on laws relating to the support of women in the workplace and development of the next generation, etc.
5. Fair operating practices	Efforts to consider the environment	Encouraging environmental conservation in construction Encouraging environmentally-conscious design Development of environmentally-friendly technology	Activities, HR development, and training based on the environmental charter/policies and environmental management systems (ISO 14000), etc.
6. Consumer issues	Efforts in improvement of quality	Improved construction quality Development of construction technology Passing on and improving construction techniques and skills	Activities based on quality policies/quality management systems (ISO 9000) HR development and training, etc. Development based on the guidance of the technical committee and the technology development roadmap
7. Community involvement and development	Active involvement in society and the local community	Progress in social contribution activities Increased interest in/understanding of the construction industry Interaction with communities in offices and on-site	Social contribution activities, interaction with the local community in offices and on-site, etc.

Basic Approach to Quality Improvement

In the construction industry, we regard the end users of our infrastructure as customers, as well as those who order construction jobs. Those ordering construction work also want to build a good relationship with locals throughout the duration of the project. At Tokyu Construction, we want to provide solutions tailored to these kind of user needs. This is our understanding of customer-orientated business management, and with this understanding as our foundation, we are working with partner companies to improve technical capacity and construction quality.

Basic Approach to Health and Safety

At Tokyu Construction, we consider efforts to improve health and safety to be a key CSR theme. We aim to accomplish our health and safety goals by implementing health and safety policies and health and safety management systems. We are working towards these goals not only on a work site basis but also across the entire company. Efforts include management team checks, support from head office departments and collaboration with partner construction companies. On work sites, as well as checking the day's tasks and any dangerous aspects in advance, workers also continuously carry out activities that increase risk sensitivity, which can easily decline due to familiarity, such as reciting "The Ten Safety Rules" which are a collection of important things staff need to be particularly thorough about.

Basic Approach to Increasing Employee Satisfaction in the Workplace

The Tokyu Construction corporate vision is summed up in the word “Shinka” which reflects our desire to be a general contractor that is always “deepening and evolving in the pursuit of genuine value.” In this vision, we define “an organization of true value” to be one where “employees with shared values respect each other and individual work satisfaction unifies the organization into one that is highly productive.” As well as respecting human rights, enhancing the employment environment and promoting diversity, we are also working to increase the ability and work satisfaction of each employee in the Tokyu Group and desire to become a company that helps its employees learn about the meaning of work and their existence and contribute to society through work.

Considering the Environment

The management philosophy of the Tokyu Group is to “do business in harmony with the natural environment.” Tokyu Construction established the “Environmental Charter” in 1997, which communicates our basic stance on how we will approach environmental issues. Regardless of whether environmental conservation activities are directly related to our operations or not, we consider consistent implementation of these activities as opportunities arise to be an essential part of “management that takes the environment into consideration."

CSR Activities

Environment

Completion of ZEB renovations to increase use of energy-saving buildings

We carried out ZEB (Zero Energy Building) renovations on the Technical Research Institute building so it could act as a model building for our zero net energy renovations in combination with external heat load reduction and energy-saving devices. Using CO_2-free renewable energy sources, such as solar power, geothermal heat and exhaust heat, etc., we installed the first hydrogen production, storage and power generation system for office buildings in Japan. We will use this as a model when proposing ZEB renovations for future buildings.



ZEB renovations carried out on a 25-year-old building (Sagamihara, Kanagawa)

Environment

An urban river monitoring system to protect construction sites from city water damage

We developed an urban river monitoring system which uses data from the Japan Meteorological Agency in collaboration with Chuo University and have been carrying out verification testing since FY 2017. If the estimated river level exceeds the control value, alerts are sent via email to relevant construction staff and rotary lights installed on-site are activated to signify danger. This system will be used for disaster prevention and reduction in response to torrential rains that are increasing yearly. We are also aiming to manage work sites so as to respond properly to rain disasters.



Human resources / Social contribution

An opportunity for young girls to take an interest in the construction industry and see women succeeding in the workplace

Kensetsu-Komachi Success On-Site Tours 2017, run by the Japan Federation of Construction Contractors, were held on construction sites near Shibuya Station. The purpose of this event was for participants to see female technicians working vibrantly on construction sites and offer a variety of “work experiences” to encourage these future leaders to take an interest in the construction industry. We are actively involved in these events as a means of promoting women’s success in the workplace and contributing to society.



Human resources / Social contribution

An opportunity for parents and children to learn about the joys and struggles of work through the “Tokyu Kids Program”

The annual “Tokyu Kids Program” was held at the Technical Research Institute. This is a hands-on event in which parents and children can tour facilities and experience work themselves. It aims to familiarize participants with Tokyu Group companies and how our operations are developing across a wide range of fields that are closely connected to their lives. The 2017 8th annual program was attended by 9 pairs made up of randomly selected 4th to 6th grade elementary school students and their parents. Participants enjoyed programs related to construction and civil engineering.



Human resources / Workplace satisfaction

The 2nd Young Employees' Projects: Construction and exhibition of a “karakuri” device

In an effort to secure future human resources, we are encouraging young employees to be involved in “Cross-Departmental Young Employees' Special Projects.” To encourage free thinking and increased internal and external communication, several teams are involved in these projects every year. This time, so that viewers could get a feel for the type and appeal of manufacturing the construction industry is responsible for, we constructed and displayed a “karakuri” device (an intricately created mechanical device) at the work site of the Shibuya Ward Office, which we are currently constructing, for a limited time.



Human resources / Workplace satisfaction

HR system that encourages a flexible working style

As part of our work-style reforms, we introduced a flextime system, a tele-working system, and work intervals across the entire company, including work sites, as of this year. These reforms aim to foster improvements in employee capacity and work satisfaction, as well as productivity.

In the flextime system, we work to divide up on-site tasks and use flextime as a way of improving team work efficiency and reducing total working time. Regarding the tele-working system, on-site and office workers take turns setting a day on which they will work remotely. This reduces employees' commuting time, enables them to have time to themselves and with their families, and contributes to a more relaxed lifestyle both mentally and physically. Furthermore, work intervals ensure that employees get a certain amount of time to rest at home in between work shifts. As a rule, commuting time is taken into consideration and employees are required to be off work for at least 11 hours before starting work the next day.

10-year Main Consolidated Financial and Non-Financial Data

(Millions of yen)

For the fiscal year	FYE Mar. 2009	FYE Mar. 2010	FYE Mar. 2011	FYE Mar. 2012	FYE Mar. 2013	FYE Mar. 2014	FYE Mar. 2015	FYE Mar. 2016	FYE Mar. 2017	FYE Mar. 2018
Operating Results										
Orders received	281,272	218,361	205,726	212,410	210,933	290,647	341,992	303,758	293,539	**299,436**
Net sales	259,507	236,655	244,974	227,843	228,570	226,164	262,815	296,393	243,618	**320,711**
Operating income	4,901	5,282	7,584	1,572	1,154	2,630	6,009	18,178	17,211	**21,416**
Ordinary income	4,607	4,912	7,811	1,884	2,301	3,559	8,024	19,768	18,839	**22,128**
Profit or loss attributable to owners of parent	(4,121)	1,901	4,087	1,799	(566)	2,685	5,805	13,340	13,691	**16,118**
Financial Position										
Total assets	169,761	162,893	146,781	154,442	154,195	169,685	192,226	214,526	204,813	**252,682**
Total capital	24,557	27,936	30,287	31,390	32,487	35,258	44,861	54,238	66,380	**79,175**
Cash Flow										
Cash flows from operating activities	(29,893)	28,301	20,540	(11,486)	14,264	(9,302)	2,111	39,003	(23,545)	**16,226**
Cash flows from investing activities	(416)	(2,395)	481	20	(619)	(2,072)	(1,525)	(334)	(1,717)	(3,383)
Cash flows from financing activities	31,905	(25,107)	(9,813)	4,704	(8,569)	6,476	(675)	(6,035)	(2,788)	(6,457)
Cash and cash equivalents at end of year	12,805	13,526	24,663	17,881	23,097	18,215	18,318	50,674	22,582	**28,865**
Per Share Data										
Net income or loss (Yen)	(38.60)	17.81	38.29	16.86	△ 5.31	25.16	54.40	125.00	128.30	**151.05**
Total net assets (Yen)	229.77	261.35	283.29	293.46	303.61	329.35	418.59	506.04	619.91	**739.87**
Cash dividends (Yen)	0.00	6.00	10.00	3.00	0.00	5.00	13.00	25.00	26.00	**31.00**
Payout ratio (%)	–	33.7	26.1	17.8	–	19.9	23.9	20.0	20.3	**20.5**
Financial Indicators										
Equity ratio (%)	14.4	17.1	20.6	20.3	21.0	20.7	23.2	25.2	32.3	**31.2**
ROE (%)	(14.8)	7.3	14.1	5.8	△ 1.8	7.9	14.5	27.0	22.8	**22.2**
PER (Times)	–	15.8	6.5	12.6	–	17.4	12.5	7.4	6.8	**7.6**
Non-Financial Indicators (Non-Consolidated)										
Number of employees at end of year (People)	2,434	2,453	2,460	2,446	2,403	2,313	2,340	2,412	2,464	**2,537**
Gender breakdown (Male / Female) (People)	2,317 / 117	2,304 / 149	2,302 / 158	2,285 / 161	2,231 / 172	2,148 / 165	2,161 / 179	2,219 / 193	2,249 / 215	**2,303 / 234**
Employment rate for persons with disabilities (%)	1.73	1.79	1.94	1.81	2.16	2.07	1.84	2.22	2.26	**2.30**
CO_2 emissions ($t\text{-}CO_2$) Office	1,383	1,270	1,387	1,060	1,370	1,607	1,841	1,913	1,820	**1,754**
CO_2 emissions ($t\text{-}CO_2$) Workplaces	49,852	38,496	40,008	37,260	51,069	44,397	59,394	66,112	67,333	**51,602**
Construction by-products generated (t)	402,477	307,549	350,320	361,347	451,353	490,293	403,918	473,004	395,309	**410,245**
Recycling rate (%)	92.1	93.5	94.4	93.3	94.7	96.8	96.1	95.9	98.4	**99.4**
Accident frequency rate	1.09	0.65	0.53	1.07	1.02	1.04	0.84	0.73	0.70	**0.79**

Financial Overview

Overview of Business Results

Overview of Business Results

The Japanese economy continued to slowly recover during FYE March 2018 as capital investment and personal consumption showed signs of recovery alongside improvements in corporate earnings and the employment and income environment.

In the construction industry, as well as high construction demand related to the 2020 Tokyo Olympic Games and Paralympic Games, public and private construction investment remained steady and construction costs stable, resulting in a strong market environment.

Under these circumstances, the Tokyu Group is working to increase corporate value in line with the basic policies of our "Mid-Term Management Plan" (FY 2015-2017): pursuing safety, quality, efficient processes, and profit by enhancing problem-solving skills, a commitment to current and future profit by screening orders, and accelerating efforts to diversify profit.

As a result, business results for FYE March 2018 were net sales of ¥320,711 million (up 31.6% from the previous year) due to an increase in completed construction sales. Regarding profit and loss, operating income was ¥21,416 million (up 24.4% from the previous year). Ordinary income increased by 17.5% against the previous year to ¥22,128 million due to recording ¥654 million of investment income using the equity method. In addition to this, amounts such as reversal of allowance for doubtful accounts of ¥154 million and profit from liquidation of a subsidiary of ¥111 million were recorded as extraordinary profit, as well as loss on fixed assets of ¥71 million and impairment loss of ¥40 million as extraordinary losses. After considering tax expenses, etc., profit attributable to owners of parent was ¥16,118 million (up 17.7% from the previous term).

■ Full-year results (consolidated)

(Millions of yen)

Item	FYE Mar. 2017	FYE Mar. 2018			Difference compared to previous year	Rate of change
		TOKYU CONSTRUCTION	Subsidiary	Consolidated		
Net sales	243,618	312,487	9,891	320,711	77,092	31.6%
Gross profit	30,344	35,301	657	35,720	5,375	17.7%
Selling, general and administrative expenses	13,133	13,851	443	14,303	1,170	8.9%
Operating income	17,211	21,450	214	21,416	4,204	24.4%
Ordinary income	18,839	21,514	222	22,128	3,288	17.5%
Profit attributable to owners of parent	13,691	–	–	16,118	2,426	17.7%

■ Full-year results (unconsolidated)

(Millions of yen)

Item	FYE Mar. 2017	FYE Mar. 2018		Difference compared to previous year	Rate of change
		Settlement	Ratio		
Completed construction sales	230,736	310,761	(100)	80,025	34.7%
Civil engineering	69,845	73,863	23.8%	4,018	5.8%
Building construction	160,890	236,898	76.2%	76,007	47.2%
Completed construction gross profit	28,183	34,767	11.2%	6,583	23.4%
Civil engineering	6,917	7,198	9.7%	280	4.1%
Building construction	21,266	27,568	11.6%	6,302	29.6%
Real estate sales	5,569	1,725	(100)	(3,844)	-69.0%
Real estate gross profit	1,638	534	31.0%	(1,103)	-67.4%
Net sales	236,305	312,487	100 %	76,181	32.2%
Gross profit	29,821	35,301	11.3%	5,480	18.4%
Selling, general and administrative expenses	12,707	13,851	4.4%	1,144	9.0%
Operating income	17,114	21,450	6.9%	4,335	25.3%
Ordinary income	17,619	21,514	6.9%	3,895	22.1%
Net income	12,655	15,555	5.0%	2,900	22.9%

Segment Performance

Construction Business (Civil Engineering)

Regarding completed construction sales, although we saw a decrease in domestic government office construction projects, sales increased by 5.6% to ¥74,089 million due to an increase in overseas construction and domestic private construction projects. Segment profit was ¥5,214 million (up 10.3% from the previous year).

Construction Business (Building Construction)

Regarding completed construction sales, although we saw a decrease in domestic government office construction and overseas construction projects, sales were ¥244,618 million (up 46.0% from the previous year) due to an increase in domestic private construction projects. Segment profit was ¥22,130 million (up 33.1% from the previous year).

Real Estate Business etc.

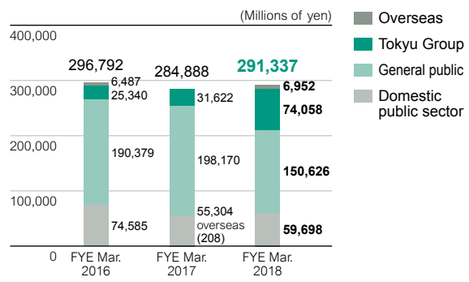
Regarding net real estate sales, sales amounted to ¥2,003 million (down 65.9% from the previous year). Segment income was ¥245 million (down 82.3% from the previous year).

Reference data (Tokyu Construction's performance by area)

■ Orders (company-wide)

(Millions of yen)

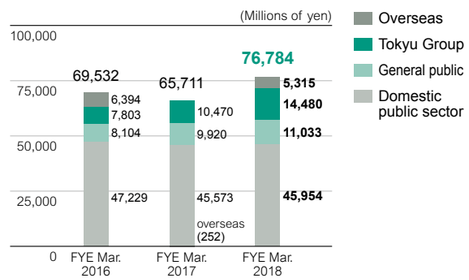
		FYE Mar. 2018	Difference compared to previous year	Rate of change
Company-wide	Domestic public	59,698	4,394	7.9%
	Domestic private	224,685	(5,106)	-2.2%
	General public	150,626	(47,453)	-24.0%
	Tokyu Group companies	74,058	42,436	134.2%
	Overseas	6,952	7,161	—
		291,337	6,448	2.3%



■ Orders (civil engineering)

(Millions of yen)

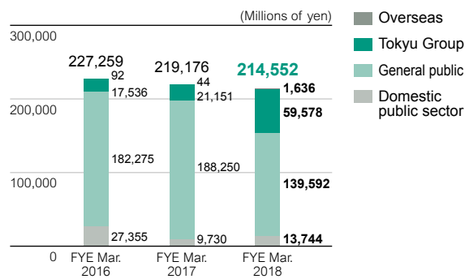
		FYE Mar. 2018	Difference compared to previous year	Rate of change
Civil engineering	Domestic public	45,954	380	0.8%
	Domestic private	25,514	5,123	25.1%
	General public	11,033	1,113	11.2%
	Tokyu Group companies	14,480	4,009	38.3%
	Overseas	5,315	5,568	—
		76,784	11,072	16.9%



■ Orders (building construction)

(Millions of yen)

		FYE Mar. 2018	Difference compared to previous year	Rate of change
Building construction	Domestic public	13,744	4,013	41.2%
	Domestic private	199,171	(10,230)	-4.9%
	General public	139,592	(48,657)	-25.8%
	Tokyu Group companies	59,578	38,427	181.7%
	Overseas	1,636	1,592	—
		214,552	(4,623)	-2.1%



Overview of Financial Situation

Assets

Compared to FYE March 2017, total assets increased by ¥47,868 million (up 23.4% from the previous year) to ¥252,682 million due to a decrease of ¥3,210 million in incomplete construction expenses, as well as an increase of ¥33,655 million in notes and accounts receivable for trade and completed construction work, etc. and ¥6,283 million in cash and cash equivalents.

Liabilities

While incomplete construction receipts decreased by ¥5,639 million and short-term loans payable and long-term borrowings decreased by a total of ¥3,082 million, construction accounts payable and electronic payment obligations, etc. increased by ¥41,894 million and accrued corporate taxes by ¥3,458 million, bringing our total liabilities to ¥173,506 million—an increase of ¥35,073 million (up 25.3%) from FYE March 2017.

Total Capital

Shareholders' equity increased by ¥12,806 million due to an increase in retained earnings due to the recording of ¥16,118 million in profit attributable to owners of parent, despite paying out ¥3,308 million in dividends. In addition, accumulated other comprehensive income decreased by ¥8 million.

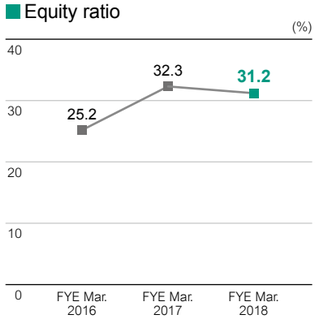
As a result, total capital was ¥79,175 million—an increase of ¥12,795 million (up 19.3%) compared to FYE March 2017.

■ Consolidated financial position

(Millions of yen)

Item	FYE Mar. 2016	FYE Mar. 2017	FYE Mar. 2018	Difference compared to previous year
Total assets	214,526	204,813	252,682	47,868
Total liabilities	160,288	138,433	173,506	35,073
Interest-bearing liabilities	4,886	4,804	1,721	(3,082)
(Short-term debt)	81	3,082	83	(2,999)
(Long-term debt)	4,804	1,721	1,638	(83)
Total capital	54,238	66,380	79,175	12,795
Equity ratio	25.2%	32.3%	31.2%	-1.1P

■ Equity ratio



Overview of Cash Flow

Cash Flow from Business Operations

Although we saw an increase in accounts receivable and a decrease in incomplete construction receipts, an increase in purchase liability and ¥22,353 million in net income before taxes and other adjustments contributed to a ¥16,226 million increase in funds (funds for FYE March 2017 had decreased by ¥23,545 million).

Cash Flow from Investments

Although we recorded revenue from the liquidation of a subsidiary, funds decreased by ¥3,383 million (funds decreased by ¥1,717 million in FYE March 2017) due to payments to acquire tangible and intangible fixed assets, etc.

Cash Flow from Financing

Repayment of long-term borrowings and payment of dividends etc. resulted in a ¥6,457 million decrease in funds (FYE March 2017 saw a decrease in funds of ¥2,788 million).

As a result, the balance of cash and cash equivalents as of the end of March 2018 increased by ¥6,283 million (up 27.8%) from the end of March 2017, to ¥28,865 million (compared to ¥22,582 million for FYE March 2017).

■ Consolidated cash flow results

(Millions of yen)

Item	FYE Mar. 2016	FYE Mar. 2017	FYE Mar. 2018
Cash flows from operating activities	39,003	(23,545)	16,226
Cash flows from investing activities	(334)	(1,717)	(3,383)
Cash flows from financing activities	(6,035)	(2,788)	(6,457)
Effect of exchange rate changes on cash and cash equivalents	(277)	(40)	(02)
Net increase (decrease) in cash and cash equivalents	32,356	(28,091)	6,283
Cash and cash equivalents at end of year	50,674	22,582	28,865

Prospects

*Based on statement of accounts (as of May 10, 2018)

Regarding the outlook of the Japanese economy, it is expected that the economy will gradually recover as corporate earnings and employment and income environments continue to improve, but we still need to be aware of uncertainty in the overseas environment.

The construction industry market is expected to continue to perform well. However, it is expected that a qualitative change in demand after the Tokyo Olympic and Paralympic Games from flow (predominantly construction of new buildings, etc.) to stock (predominantly maintenance and repairs), combined with increasing numbers of elderly workers retiring will result in a variety of issues—particularly labor shortages.

Tokyu Construction Group aims to build a corporate structure resistant to these market changes, becoming a "group that can cope with the changing environment to create true value within a vital corporate culture" by 2026. We also came up with our "Mid-Term Management Plan" for 2018–2020 and "Shinka 2020" vision as the first steps towards this goal.

Looking ahead, our entire company plans to move forward as one with our "Mid-Term Management Plan" in order to become the company we wish to be.

Our forecasts for FYE March 2019, the first year of our mid-term plan, are as follows.

Consolidated profit and loss

Net sales: 336.0 billion yen
Profit attributable to owners of parent: 13.8 billion yen

Non-consolidated profit and loss

Net sales: 317.0 billion yen
Gross profit: 32.4 billion yen
Net income: 12.3 billion yen

Dividend forecast

26 yen (Consolidated dividend payout ratio 20.1%)
Interim dividend 10 yen Year-end dividend 16 yen

■ Breakdown of sales by area

Completed construction sales	315.6 billion yen	1.6%
Civil engineering	79.6 billion yen	7.8%
Building construction	236.0 billion yen	-0.4%
Real estate sales	1.4 billion yen	-18.9%
Total	317.0 billion yen	1.4%

■ Breakdown of gross profit by area

Gross profit form completed construction sales	31.9 billion yen	-8.2%
Civil engineering	6.6 billion yen	-8.3%
Building construction	253.0 billion yen	-8.2%
Real estate gross profit	0.5 billion yen	-6.5%
Total	32.4 billion yen	-8.2%

■ Dividend results/dividend forecast

Performance for FYE March 2016	25 Yen (Consolidated dividend payout ratio 20.0%)
Performance for FYE March 2017	26 Yen (Consolidated dividend payout ratio 20.3%)
Performance for FYE March 2018	31 Yen (Consolidated dividend payout ratio 20.5%)
Forecast for FYE March 2019	26 Yen (Consolidated dividend payout ratio 20.1%)

Company Profile / Stock Information

Company name	TOKYU CONSTRUCTION CO., LTD.
Founded on	March 12, 1946
Date of establishment	April 10, 2003
Capital	¥16,354,447,000-
Head office	1-16-14, Shibuya, Shibuya-ku, Tokyo 150-8340
Representative	President Toshio Imamura
Number of employees	2,537
Construction license	(TOKU-29) No. 20220 by Minister of Land, Infrastructure, Transport and Tourism
Building lots and buildings transaction license	(3) No. 6474 by Minister of Land, Infrastructure, Transport and Tourism
Main services	Civil Engineering and Building Construction Contracting/ Investigation, Construction Plan, Geological Survey, Measurement, Architectural Design for Civil Engineering and Building Construction, etc.
Locations	Head office / 13 Branches / 12 Sales offices, etc. 〈Branch office〉 Sapporo Branch, Tohoku Branch (Sendai-shi), Hokuriku Branch (Niigata-shi), Chiba Branch, Civil Project East Japan Branch (Shibuya-ku, Tokyo), Urban Development Branch (Shibuya-ku, Tokyo), Building Project Metropolitan Branch (Shibuya-ku, Tokyo), Building Project East Japan Branch (Shibuya-ku, Tokyo), Nagoya Branch, Osaka Branch, Hiroshima Branch, Shikoku Branch (Takamatsu-shi), Kyushu Branch (Fukuoka-shi) 〈Institute〉 Institute of Technology (Sagamihara-shi, Kanagawa) 〈Overseas office〉 Singapore, Thailand, Indonesia, Myanmar, Bangladesh, Vietnam
Affiliated companies	Token Industry Co., Ltd. (Shibuya-ku, Tokyo) Tokyu Renewal Co., Ltd. (Shibuya-ku, Tokyo) Purantaru farm,Ltd. (Miho-mura, Inashiki-gun, Ibaraki) CH. KARNCHANG-TOKYU CONSTRUCTION CO., LTD. (Thailand) PT. TOKYU CONSTRUCTION INDONESIA (Indonesia) GOLDEN TOKYU CONSTRUCTION CO., LTD. (Myanmar)

We have a wide variety of opportunities for dialogue with investors.

We hold financial results briefings in May and November every year for institutional investors such as analysts and fund managers. Approximately 50 institutional investors attend each time. We also held a work site tour for institutional investors on urban renewal sites surrounding Shibuya Station in December. The tour included a successful question and answer session and resulted in increased interest in the Shibuya urban renewal project. We also spend time meeting with each institutional investor individually.

In our basic corporate governance policy announced in November 2015, we committed to having constructive conversations with investors. We will continue to actively engage in dialogue whenever we have the opportunity and use these conversations to increase our corporate value.

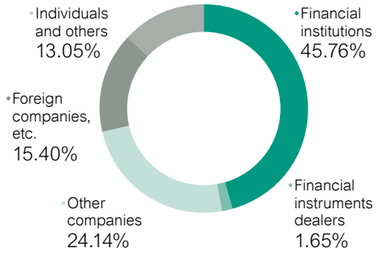


Financial results briefing for the fiscal year ended March 2018 (May 25, 2018)

(As of March 31, 2018)

Total number of shares authorized to be issued	400,000,000 shares
Outstanding stock	106,761,205 shares (Including 53,703 treasury shares)
Number of shareholders	34,053
Stock Exchange listing	The first section of the Tokyo Stock Exchange
Securities code	1720
Shareholder registry administrator	Sumitomo Mitsui Trust Bank, Limited 1-4-1, Marunouchi, Chiyoda-ku, Tokyo, Japan

Distribution of Shareholders



Major Shareholders (Top 10)

Name	No. of shares held (Thousands)	Percentage of total shares issued (%)
TOKYU CORPORATION	15,362	14.40
Japan Trustee Services Bank, Ltd. (Trust Account)	6,460	6.05
The Master Trust Bank of Japan, Ltd. (Trust Account)	4,673	4.38
Mizuho Trust & Banking Co., Ltd. TAISEI CORPORATION retirement benefits trust account re-trust trustee Trust & Custody Services Bank, Ltd.	4,000	3.75
Japan Trustee Services Bank, Ltd. (Sumitomo Mitsu Trust Bank, Ltd. Re-trust - Tokyu Corporation retirement benefits trust account)	3,520	3.30
SHIMIZU CORPORATION	3,000	2.81
Sumitomo Mitsui Trust Bank, Limited	2,945	2.76
MUFG Bank, LTD.	2,550	2.39
KINDEN CORPORATION	1,924	1.80
The Master Trust Bank of Japan, Ltd. (Tokyu Corporation retirement benefit trust account)	1,760	1.65

(Notes) 1. Tokyu Corporation has contributed 7.5 million shares to retirement benefit trust accounts, including 3.52 million shares to the Japan Trustee Services Bank (re-trustee of Sumitomo Mitsui Trust Bank - Tokyu Corporation retirement benefits trust account) and 1.76 million shares to the Master Trust Bank of Japan (Tokyu Corporation retirement benefits trust account), and we hold the authority to direct how voting rights for these shares should be executed.
2. The Bank of Tokyo-Mitsubishi UFJ, Ltd. changed its name to MUFG Bank, Ltd. on April 1, 2018.

Our company has been selected as a JPX-Nikkei Index 400 and JPX-Nikkei Mid and Small Cap Index brand.
We will continue to work to improve our corporate value and meet the expectations of our investors.

JPX-NIKKEI 400

The JPX-Nikkei 400 index is composed of companies with high appeal for investors, which meet requirements of global investment standards, such as efficient use of capital and investor-focused management perspectives. Companies are chosen by the Tokyo Stock Exchange and the Nihon Keizai Shimbun.

JPX-NIKKEI Mid Small

The JPX-Nikkei Mid and Small Cap applies the concept of the JPX-Nikkei Index 400, which is an index composed of highly attractive listed companies, to mid and small cap equities by selecting companies that focus on capital efficiency and investor-orientated management, and aim to foster greater awareness of such issues among corporate executives. Companies are chosen by the Tokyo Stock Exchange and the Nihon Keizai Shimbun.

Town Value-up Management
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